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Learn to Trade with Rico

The smart beginner's guide to trading. From your first candle to your first portfolio.



10 chapters
10 Rico's Calls
40 quiz questions
35+ charts & diagrams
Bear traps · Myth-busters · Pro moves

A NOTE FROM THE AUTHOR

I spent years on trading floors at major financial institutions, trading and managing risk. One lesson stayed with me: the traders who last aren't the ones who predict markets best. They're the ones who know how to protect their capital, follow a process and control their emotions.

Beginners rarely get a clear introduction to these principles. This guide is my attempt to give you one.

I built Profit.com to give everyday investors professional-grade tools. This guide is the other half: the knowledge to use them well. Learn the basics, practice without real money, and give your profits a chance to follow.

I believe financial education should be visual, interactive and playful. That's why I created Rico, your learning companion—because learning about markets doesn't have to feel like reading a textbook.

Have fun learning. I hope Rico saves you from a few expensive mistakes along the way.

> **Rostislav Haliplii**
> Founder, Profit.com

ABOUT THE AUTHOR

Before founding Profit.com, Rostislav Haliplii held quantitative risk and trading roles at Société Générale, HSBC and Mitsui Bussan Commodities, and advised financial institutions on risk and derivatives pricing at Deloitte. He holds an MSc in Risk Management & Financial Engineering from Imperial College London and a PhD in Economics from Paris Sorbonne University.

Contents

Ten chapters. Each one builds on the last, but feel free to jump around.

★ **Rico's Path** — p. 5
Your progression map

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Every Profit.com tool that trains a skill from this book

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Trading jargon, decoded



Hey, I'm Rico.

I'm a bull, so I like it when prices go up. But I've learned the hard way that the market doesn't care what I like. This book is everything I wish someone had told me before my first trade: explained simply, never dumbed down.

We'll go from **how a market actually works** to **reading charts**, **managing risk like a professional**, **controlling your own brain** and **building a portfolio**. By the last page you'll have your own written trading plan.

This book is a game. Every chapter has challenges. Score points, avoid the traps, and see how you score at the end.

How to play this book

Rico says
Rules, shortcuts and honest truths from me.

Bear Trap
Worried Rico flags the mistakes that blow up beginner accounts. Learn them here, cheaply.

Myth vs Reality
Rico shrugs off popular trading "wisdom" and shows you what's actually true.

Pro Move
What experienced traders actually do differently.

Rico walks you through it
Annotated charts: Rico points at each numbered spot and explains what it means.

Show your reasoning
60-second drills: explain *why*, then compare with Rico's model answer.

Rico's Call
+2 pts
A real-world situation. What would you do? Commit before you check.

Boss Quiz
+1 pt each
Four questions to end every chapter. Answers at the back.

Level Up
Practice the skill for real with a free tool or game on Profit.com.

Scorecard
Max 60 points. Your score tells you what to do next, and your bull earns its rank in the Profit.com Academy.

Important: please read

This guide is for education only. It is not investment, financial, tax or legal advice, and nothing in it is a recommendation to buy or sell any security or other instrument. All charts, prices, companies and scenarios are illustrative or simulated unless stated otherwise. Trading and investing involve risk, including the loss of all money invested. Leveraged products such as CFDs, forex and futures carry a high level of risk and losses can exceed deposits in some cases. Past performance is not a reliable indicator of future results. Consider your circumstances and seek independent advice if needed.

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Rico's Path

Your route from first candle to written trading plan. Tick off each station, log your points, and hit the three checkpoints.



CHECKPOINT · Chart Reader

1 **Markets**
Quiz ___/4
Call ___/2

2 **Orders & Leverage**
Quiz ___/4
Call ___/2

3 **Charts**
Quiz ___/4
Call ___/2

4 **Trends & Indicators**
Quiz ___/4
Call ___/2

CHECKPOINT · Risk Manager

5 **Risk**
Quiz ___/4
Call ___/2

6 **Psychology**
Quiz ___/4
Call ___/2

7 **Fundamentals**
Quiz ___/4
Call ___/2

8 **Economy**
Quiz ___/4
Call ___/2

CHECKPOINT · Plan Ready

9 **Portfolio**
Quiz ___/4
Call ___/2

10 **Your Plan**
Quiz ___/4
Call ___/2

FINISH
Check your score





HOW I'LL COACH YOU

At each checkpoint, stop and look back: re-read your **Show your reasoning** answers from the last three chapters. If you can explain every one in your own words, move on. If not, that's the chapter to revisit. Learning trading isn't about speed. It's about not skipping the parts that keep you solvent.

Check your score
Add up your points at the finish

0–24 pts
Revisit

25–39 pts
Solid base

40–51 pts
Ready to paper trade

52–60 pts
Ready for the launch ladder

CHAPTER 1

How Markets Actually Work

Where prices come from, who you're trading against, and why the bull and the bear never stop fighting.

> *Every price you see is just the last handshake between someone who wanted out and someone who wanted in.*



WHAT YOU'LL UNLOCK

- ✓ What a market really is (hint: an auction)
- ✓ Bulls vs bears, in one picture
- ✓ The 6 big asset classes and their risk
- ✓ The bid, the ask and the hidden toll you pay

A market is just a giant, non-stop auction

No magic, no secret room. Buyers shout what they'll pay, sellers shout what they'll accept, and the price is wherever the last two of them agreed.

When you buy one share of a company, someone else sold it to you. Every trade has two sides, and every price on your screen is a record of the most recent deal. If more people want to buy than sell at today's price, buyers have to offer more, and the price rises. If sellers are in a hurry, they accept less, and it falls. That's it. Everything else in this book is about **reading that tug-of-war** and **surviving when you read it wrong**.



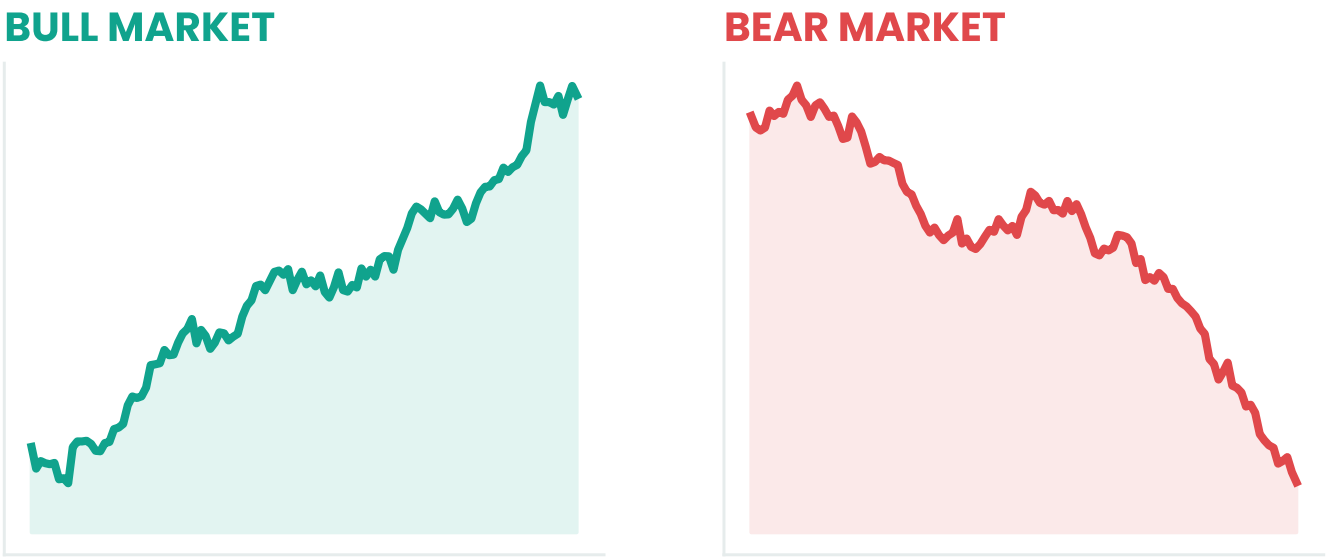
RICO SAYS

Price doesn't move because something is "good" or "bad." It moves because it was **better or worse than people expected**. A great company can drop on great news if everyone expected amazing news.

Bull
Someone who expects prices to rise. Bulls charge upward with their horns. (That's me.)

Bear
Someone who expects prices to fall. Bears swipe downward with their paws.

Bull / bear market
A sustained rise (or fall) of roughly 20% or more from a recent low (or high).



Same market, two moods. A bull market climbs a "wall of worry"; a bear market slides down a "slope of hope."

Who's on the other side of your trade?

Here's an uncomfortable truth most beginner guides skip: when you place a trade, you are often trading against people with **more money, more data and faster computers** than you. Knowing who they are helps you stop trying to beat them at their own game.

Player	What they do	Their edge	Your edge vs them
Market makers	Always quote a buy and sell price	Earn the spread, see order flow	None: just pay less spread
Institutions (funds, banks)	Move billions slowly	Research, size, access	You're small: you can enter and exit instantly
High-frequency traders	Trade in microseconds	Speed	Don't scalp. Hold longer than milliseconds
Long-term investors	Buy and hold for years	Patience	Copy the patience
Other retail traders	Trade from apps	Not much	Discipline. Most of them have none



RICO'S EDGE

You won't out-speed the robots or out-research a hedge fund. Your real edges are **patience, flexibility and choosing your battles**. A small trader can sit in cash for a month. A $10B fund can't.

The six big asset classes

Different things you can trade, each with its own personality. Ranked from lowest to highest risk.

Bonds

Mostly OTC

You own: **A loan to a government or company**

Steadier, pays interest, hates rising rates.

RISK ● ○ ○ ○ ○ Low

ETFs / Index funds

Exchange hours

You own: **A basket of assets in one ticker**

Instant diversification: the beginner's best friend.

RISK ● ● ○ ○ ○ Low–medium

Stocks

Exchange hours

You own: **A slice of a company**

Long-term growth engine. One stock alone can swing hard.

RISK ● ● ● ○ ○ Medium

Commodities

Futures hours

You own: **Oil, gold, wheat, copper...**

Driven by supply shocks, weather, geopolitics.

RISK ● ● ● ○ ○ Medium

Forex

24/5

You own: **One currency vs another (EUR/USD)**

Huge and liquid, usually traded with leverage.

RISK ● ● ● ● ○ High

Crypto

24/7

You own: **Digital tokens (BTC, ETH...)**

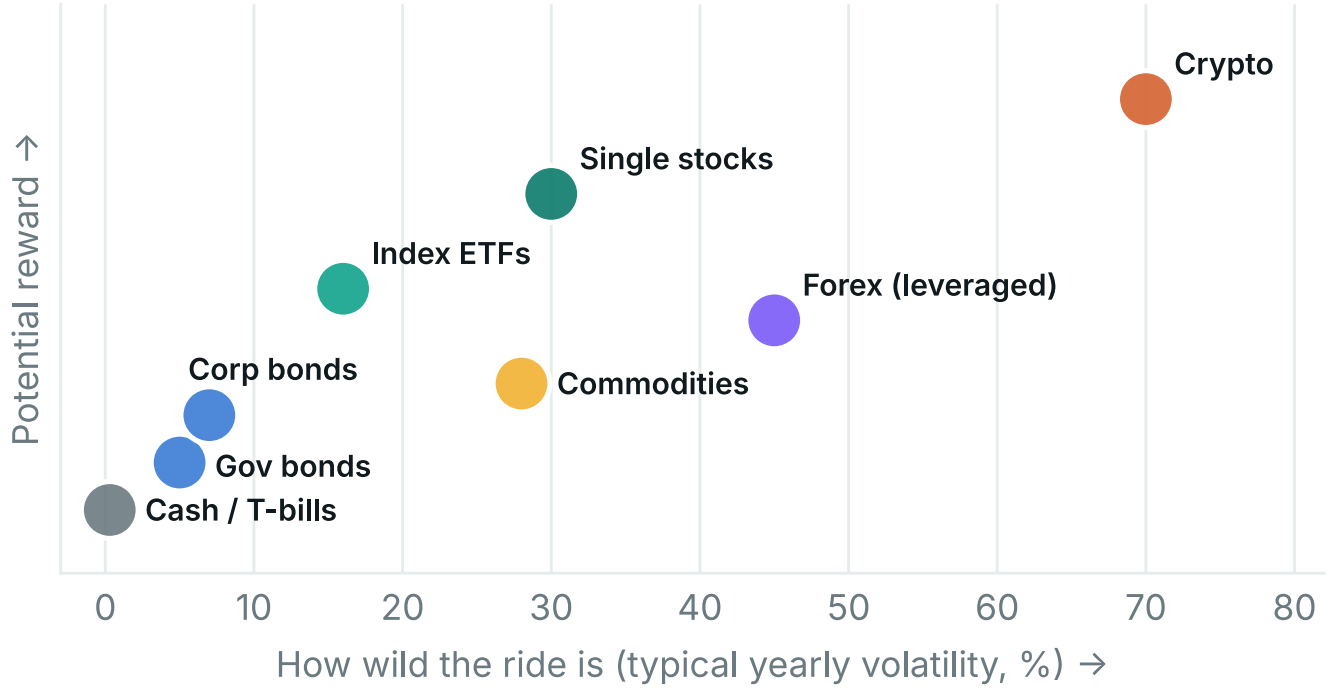
Extremely volatile, young, never sleeps.

RISK ● ● ● ● ● Very high



RICO'S RULE

Learn on the low-risk, liquid assets first. Crypto and leveraged forex magnify mistakes as fast as skill.



A rough map of the risk–reward ladder. Higher potential reward almost always comes with a wilder ride. Positions are illustrative, not precise.

MYTH

~~*"Crypto and forex are the fastest way to get rich."*~~

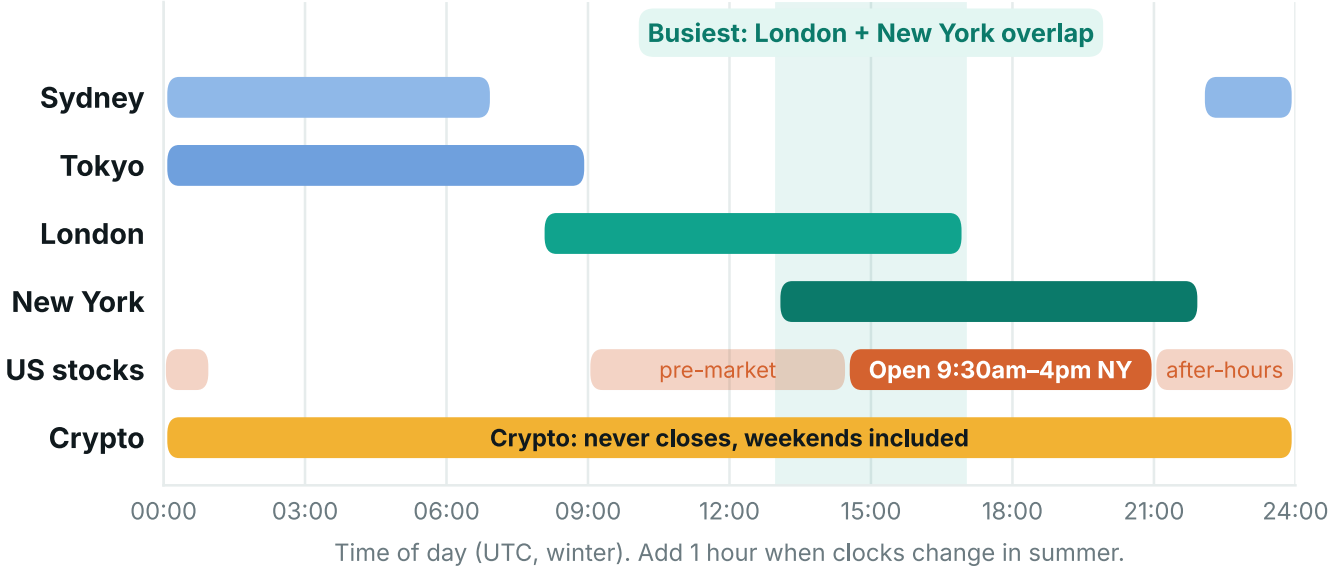


✓ REALITY

They're the fastest way to get *volatile*. High volatility magnifies skill and mistakes equally, and beginners make more mistakes. Most professionals learn on boring, liquid assets first. (More on volatility in Chapter 3.)

When markets are open

Markets follow the sun. As one city closes, another opens, so something is always trading somewhere.



The trading day around the world. Forex passes from Sydney to Tokyo to London to New York. Times are approximate.

- **Forex** trades 24 hours a day on weekdays. It's busiest when London and New York are both open: more traders, tighter spreads, bigger moves.

- **US stocks** trade 9:30am–4pm New York time. You can also trade before the open (pre-market) and after the close (after-hours), but with fewer traders and wider spreads.
- **Crypto** never closes, not even at weekends. Big moves often happen while you sleep.

Bid, ask and the toll booth

Every market shows two prices. The **bid** is what buyers will pay right now; the **ask** is what sellers want. The gap between them is the **spread**, and you pay it every time you open and close a trade. In liquid assets like Apple or EUR/USD it's tiny. In small stocks or obscure crypto coins it can be brutal.

BID $99.98
Highest price a buyer will pay (you SELL here)

SPREAD
$0.04 = the market's toll

ASK $100.02
Lowest price a seller will take (you BUY here)

⚠ BEAR TRAP · RICO'S WARNING

The invisible fee that eats over-traders

If you buy at the ask and instantly sell at the bid, you've lost money without the price moving at all. Trade 20 times a day in a wide-spread market and that "tiny" toll can be bigger than your profits. **Fewer, better trades** beat many mediocre ones.



Liquidity is how easily you can get in and out without moving the price. High liquidity means tight spreads and fair fills. Low liquidity means you might be the only buyer, and you'll find out how true that is the moment you try to sell.

◎ RICO'S CALL #1 +2 pts

The tiny token

You want to put $1,000 into a newly listed micro-cap token. The order book shows a bid of $0.0950 and an ask of $0.1050, and only a few thousand dollars of orders on each side. A big, well-known coin next to it has a spread of 0.01%.

- **A** Recognise you're about 10% down the instant you buy (the spread), and the thin order book could make selling even worse. Pass, or use a small limit order and accept you may not get filled
- **B** Market-buy $1,000 now: the price is low, so it can only go up
- **C** Buy with leverage to make the spread cost worth it
- **D** Spread doesn't matter for long-term holders

Lock in your answer, then flip to page 74.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 74. If your reasoning matches, you really own the idea.

1. **A company posts record profits and its stock falls 6%. Explain how that can happen.**

2. **Why does a wide spread hurt a day trader far more than a long-term investor?**

BOSS QUIZ · CHAPTER 1 +1 pt each

1 A stock rises after its company reports record profits. What best explains the rise?

- A Record profits always push prices up
- B Market makers decided to raise the price
- C The results beat what investors had expected
- D More shares were created

2 The bid is $49.95 and the ask is $50.05. You buy and immediately sell. Ignoring fees, your result per share is...

- A $0
- B +$0.10
- C −$0.10
- D −$0.05

3 Which is generally the most beginner-friendly asset to start with?

- A Small-cap crypto coins
- B Broad index ETFs
- C Leveraged forex
- D Penny stocks

4 What is your realistic edge as a small retail trader?

- A Faster execution than HFT firms
- B Flexibility and patience to wait for good setups
- C Better research than hedge funds
- D Insider information

Answers on page 74. Log your score on the Scorecard at the back.



★ CHAPTER 1 COMPLETE

Nice work. Here's what to keep.

1. Price moves on **surprises versus expectations**, not on whether news is "good".
2. Every trade has someone on the other side, often with more resources. Your edge is **patience and selectivity**.
3. The **spread is a toll** on every round trip. Liquid markets and fewer trades keep it small.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · SIMULATOR

PlayTrade

Learn to trade without risking a cent. Place real orders on live markets with virtual money, see how prices actually move, and make your beginner mistakes where they're free.

Practice trading risk-free →



CHAPTER 2

Orders, Leverage & the Mechanics

How a trade is actually placed, and the one tool that turns small mistakes into account-killers.

> *When you combine ignorance and leverage, you get some pretty interesting results. (Warren Buffett)*

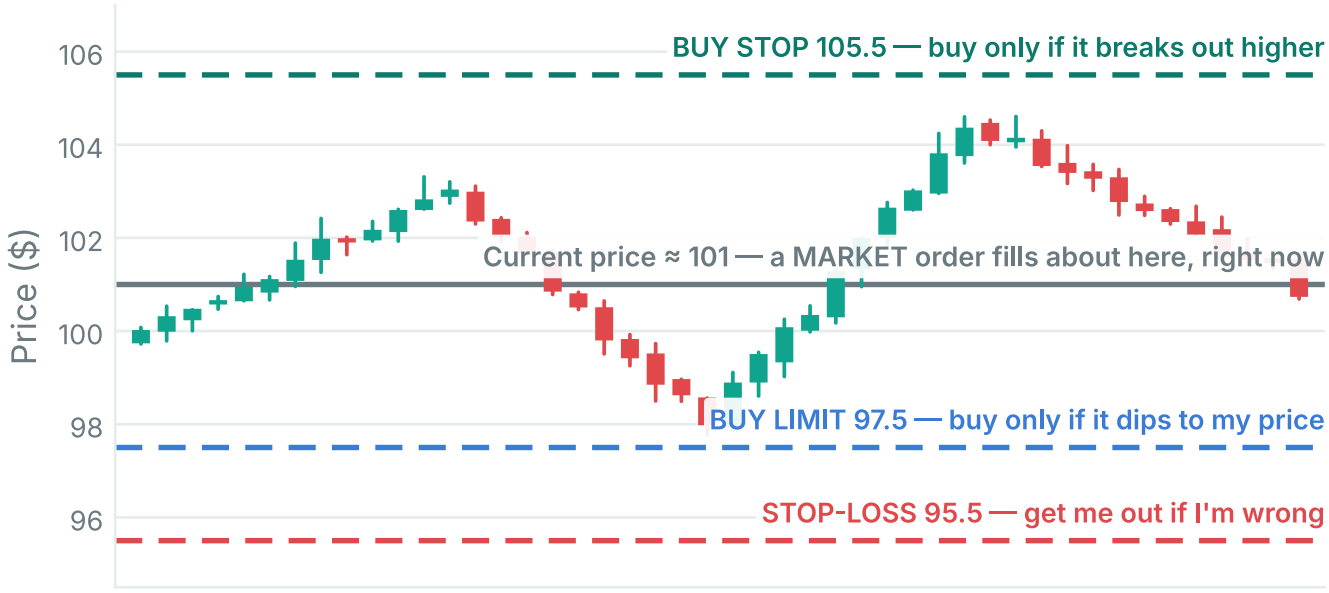


WHAT YOU'LL UNLOCK

- ✓ Market, limit and stop orders, without confusion
- ✓ Going long vs going short
- ✓ Leverage and margin: the double-edged horn
- ✓ The real costs: spread, commission, slippage, swaps

The four orders you'll use 95% of the time

Order	What it says	Use it when	Watch out
Market	"Fill me now at the best available price."	Speed matters more than price	In fast or thin markets you can get a worse price (slippage)
Limit	"Only at this price or better."	You want a specific entry (buy a dip, sell a rip)	May never fill if price doesn't reach it
Stop	"When price hits X, send a market order."	Stop-losses, or buying a breakout	Gaps can jump straight past your stop
Stop-limit	"When price hits X, place a limit order at Y."	Controlling price on breakouts	In a crash it may not fill at all



One chart, four orders. Notice that a buy stop sits above the price (you buy strength) and a buy limit sits below it (you buy weakness).



RICO'S RULE

Rico's rule: **you decide your exit before you enter.** Every trade gets a stop-loss the moment it's opened. Not later. Not "when it gets bad." Now.

Long and short: profit in both directions

Going **long** is the normal way: buy, hope it rises, sell later. Going **short** flips it: you borrow shares, sell them now, and buy them back later, hopefully cheaper. Shorting lets you profit from falling prices, but it has a nasty twist.

LONG: buy low, sell higher



SHORT: sell high, buy back lower



⚠ BEAR TRAP · RICO'S WARNING

Shorts have unlimited downside

A stock you buy can only fall to zero, so your max loss is 100%. A stock you short can rise forever, so your loss has **no ceiling**. Squeezes where heavily shorted stocks double in days are real. Shorting is a tool for experienced traders with tight stops.



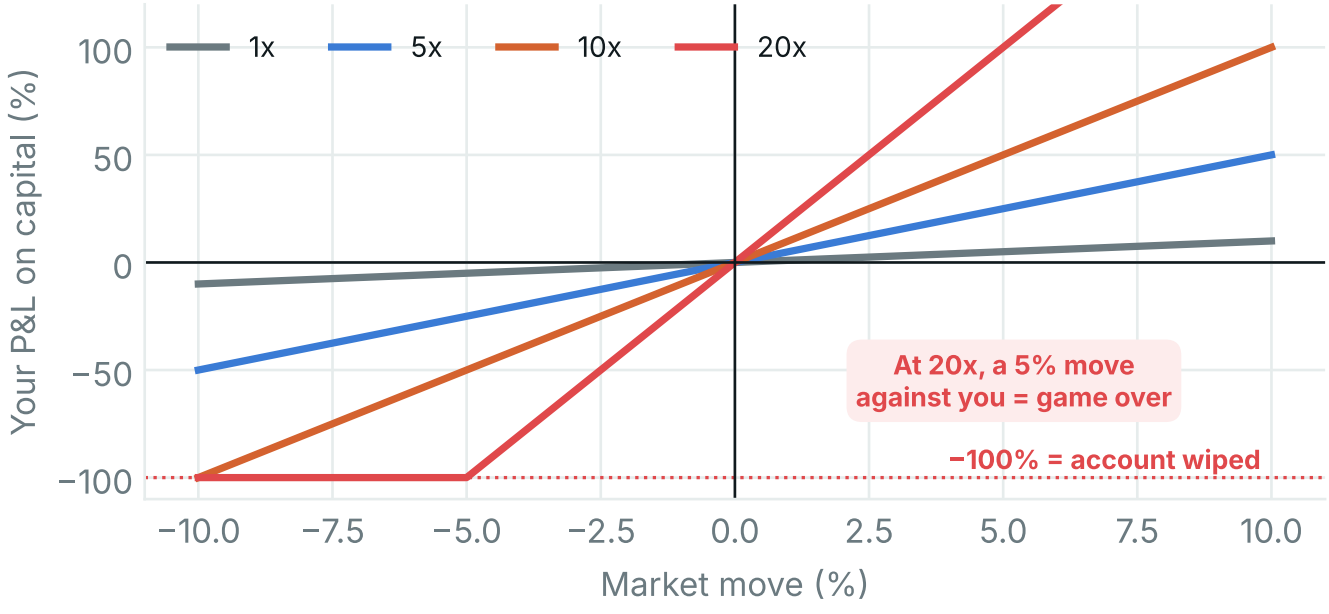
Leverage: the double-edged horn

Leverage lets you control a big position with a small deposit (called margin). It multiplies everything: gains, losses and stress.

LEVERAGE IN ONE LINE

Position size = Your margin × Leverage

With $1,000 at 10× leverage you control $10,000. A 1% move = $100 = 10% of your money. A 10% move against you = your entire $1,000, gone.



How leverage stretches your P&L. At 1× a 5% drop costs you 5%. At 20× the same drop wipes out your entire margin.

10%
move against you wipes out a 10× position

5%
is enough at 20×

1%
is enough at 100×

MYTH

~~*"Leverage is how small accounts get big."*~~



✓ REALITY

Leverage is how small accounts get *small faster*. Regulators in the UK and EU force brokers of leveraged products (CFDs) to publish the share of retail clients who lose money, and it's typically the majority. Use leverage only after you have a proven, risk-managed strategy, and size it so a normal bad day can't knock you out.

PRO MOVE

Think in risk, not in leverage

Pros rarely ask "how much leverage?" They ask "if my stop is hit, how much of my account do I lose?" Answer that first (Chapter 5 shows you how), and the right leverage falls out automatically.



The four costs nobody advertises

Commission
A fee per trade or per share. Often zero now, but "free" brokers may make it back through wider spreads.

Spread
Gap between bid and ask. Paid on every round-trip (see Chapter 1).

Slippage
The difference between the price you expected and the price you got. Big in fast markets and with market orders.

Overnight financing (swap)
Holding a leveraged position overnight costs interest. Small per day, painful over months.

RICO'S CALL #2 — +2 pts

The overnight gamble

You have a $5,000 account. A friend says a stock will "definitely" jump after earnings tonight. Your broker offers 20× leverage. The stock typically moves ±8% on earnings day.

- **A** Go all-in at 20×: $100,000 exposure, max upside
- **B** Use 5× leverage: $25,000 exposure
- **C** Risk a small, fixed amount (say 1–2% of the account) with the position sized so a typical ±8% gap only costs that much
- **D** Buy $5,000 worth with no leverage, no stop

Lock in your answer, then flip to page 74.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 74. If your reasoning matches, you really own the idea.

1. **Why is position size, not a stop-loss, your real protection against an overnight earnings gap?**

2. **Why does a buy stop sit above the current price, while a buy limit sits below it?**

BOSS QUIZ · CHAPTER 2 +1 pt each

1 You want to buy a stock trading at $100, but only if it dips to $95. Which order?

- A Market order
- B Buy limit at $95
- C Buy stop at $95
- D Sell stop at $95

2 With 10× leverage, how far must price move against you to wipe out your margin?

- A 1%
- B 5%
- C 10%
- D 50%

3 Why can shorting be riskier than buying?

- A Short trades have higher commissions
- B You can't use stop-losses on shorts
- C Shorts can only be held for one day
- D A short's potential loss is unlimited

4 You place a market order during a fast news spike and get filled $0.40 worse than the last price. That's...

- A Spread
- B Slippage
- C Commission
- D A swap fee

Answers on page 74. Log your score on the Scorecard at the back.



★ CHAPTER 2 COMPLETE

Nice work. Here's what to keep.

1. Decide your **exit before your entry**. Every trade gets a stop the moment it opens.
2. Leverage multiplies losses as fast as gains: at 10×, a 10% move wipes you out.
3. Gaps can jump over stops. Keeping **position size** small is your best defence against them.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · CALCULATOR

Margin Calculator

See exactly how much margin a position ties up and how far price can move before you get a margin call, **before** you click buy. Takes 10 seconds and could save an account.

Open Margin Calculator →



CHAPTER 3

Reading Charts Like a Pro

Candlesticks are the language of price. Learn to read them and every chart starts telling you a story.

> *A chart is a diary of fear and greed. Candles are the handwriting.*



WHAT YOU'LL UNLOCK

- ✓ Anatomy of a candlestick
- ✓ 5 candle patterns worth knowing
- ✓ Why timeframes change everything
- ✓ Volume: the lie detector

Line chart vs candles

A line chart connects closing prices. It's clean, but it hides the drama.

Line chart: closes only



Candles: the full story



Candlestick charts were developed by Japanese rice traders centuries ago. Each candle packs four prices (open, high, low and close) into one shape, so you can see not just *where* price ended up, but *the fight it took to get there*.

Anatomy of a candle



High: top of the wick

Close (green = closed UP)

← Body: open to close

Wicks: where price went, but got rejected

Open

Low: bottom of the wick



Open

Close
(red = closed DOWN)

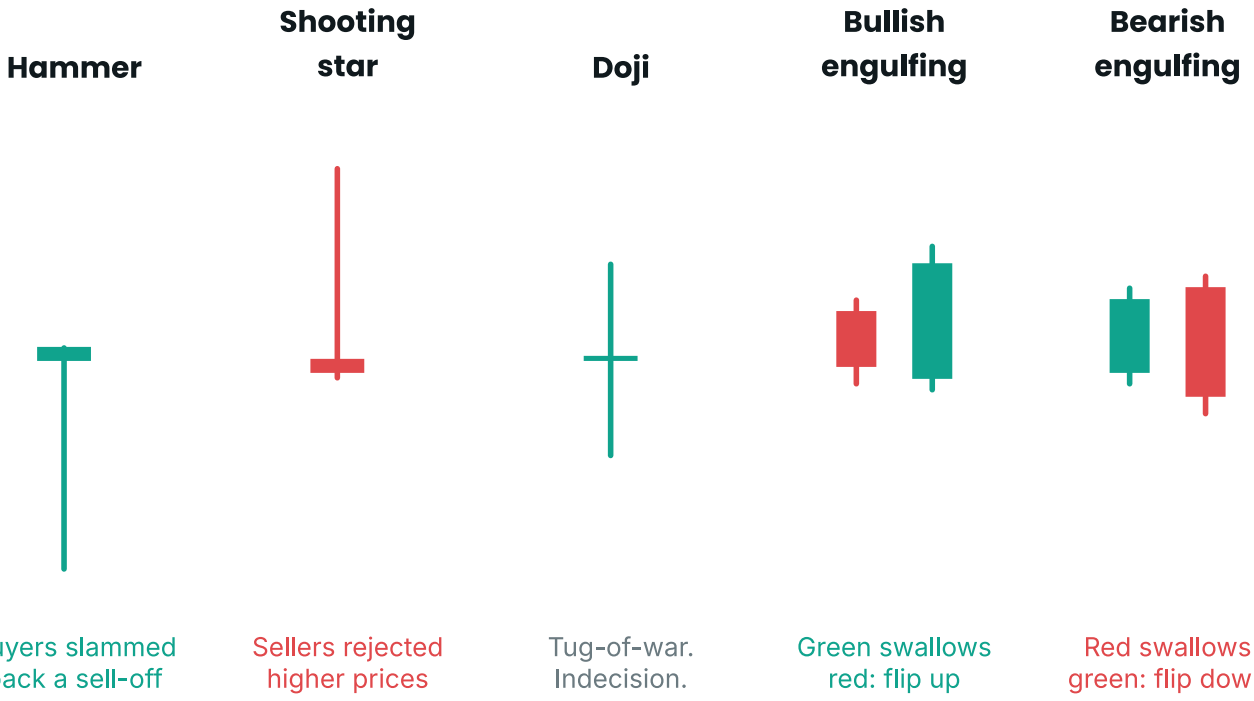


RICO SAYS

Long wicks are the most honest part of a candle. A long lower wick means sellers pushed price down hard, and **buyers slammed it back up**. That's a clue about who's in control.

Five candle patterns worth knowing

There are dozens of named patterns. These five carry most of the useful information.



Pattern	What happened	What usually follows
Hammer	Sellers drove price down, buyers reclaimed nearly all of it	**Price often turns up.** Strongest after a fall, at support
Shooting star	Buyers pushed up, sellers smacked it back down	**Price often turns down.** Strongest after a rise, at resistance
Doji	Open ≈ close. Nobody won	**A pause.** The next candle shows the direction. After a long trend, the trend may be ending
Bullish engulfing	A green body fully swallows the previous red body	**Price often turns up.** Strongest at support, with higher volume
Bearish engulfing	A red body fully swallows the previous green body	**Price often turns down.** Strongest at resistance, with higher volume

⚠ BEAR TRAP · RICO'S WARNING

A pattern alone is just a shape

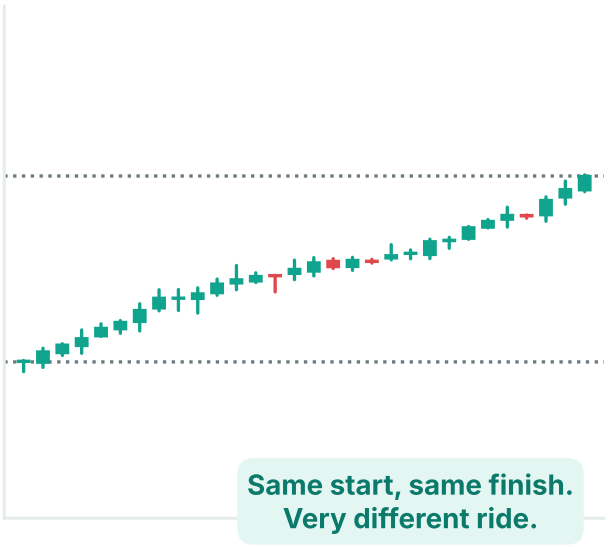
A hammer in the middle of nowhere means very little. A hammer **at a level that held three times before, with rising volume** means a lot. Context (where it forms) matters more than the pattern itself. Never trade a candle on its own.



Volatility: how wild is the ride?

Volatility is how much and how fast a price swings. You can see it straight away in the candles.

Calm: moves about 1% a day



Volatile: moves about 5% a day



Two stocks, both up 8% over the month. The calm one drifts there; the volatile one gets there through big daily swings.

- **Small candles, short wicks** = low volatility. Price moves gently.
- **Tall candles, long wicks** = high volatility. Price jumps around a lot.
- High volatility means **bigger possible gains and bigger possible losses**. Your stop-loss gets hit more easily, so you need more room and a smaller position (Chapter 5).
- Volatility changes. Quiet periods often end with a burst: earnings, big news, a breakout.



RICO SAYS

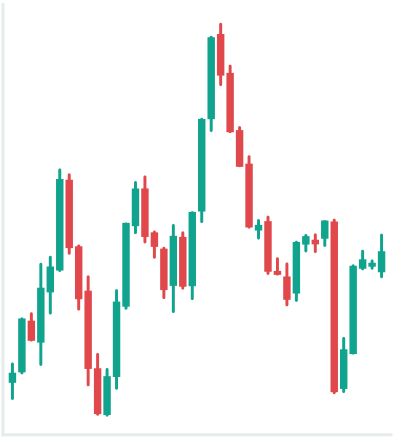
Volatility isn't good or bad. It's the speed of the ride. Know how fast your stock moves before you get on.

Timeframes: same stock, three different stories

Daily: uptrend



1-hour: pullback



5-min: noise



One stock, zoomed three ways. The daily is trending up, the hourly shows a pullback, the 5-minute is mostly noise.

Each candle can represent a minute, an hour, a day or a week. The same stock can be in an uptrend on the daily chart and a downtrend on the hourly one. Neither is "wrong." They answer different questions. The professional habit is **top-down analysis**: start on a higher timeframe to find the trend, then zoom in to time your entry.

PRO MOVE

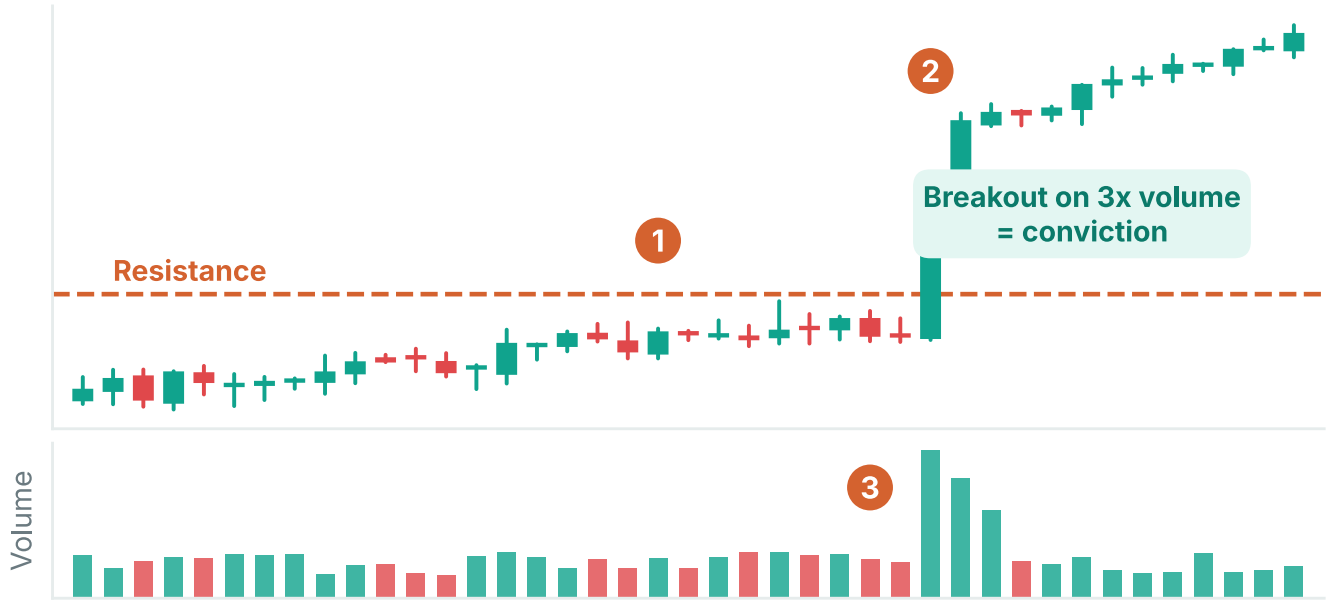
The rule of three timeframes

Pick a main timeframe for your trades, then check one about 4–6× higher for direction and one about 4–6× lower for timing. Swing trader? Weekly → **daily** → 4-hour. Day trader? 1-hour → **15-min** → 3-min.



Volume: the lie detector

Price tells you *what* happened. Volume tells you *how much conviction* was behind it.





RICO WALKS YOU THROUGH IT

1. Weeks of quiet, low-volume trading under resistance. Nobody is committed yet.
2. The breakout candle closes clearly **above** the level, not just a wick poking through.
3. Volume jumps to about 3× normal. Big players are participating: that's the conviction that makes a breakout stick.

Volume is the number of shares or contracts traded in a period. A breakout on **huge volume** means big players are participating. A breakout on **tiny volume** is like a crowd cheering with only three people in the stadium: it may not last.

- **Rising price + rising volume** = healthy, strong move
- **Rising price + falling volume** = rally losing fuel
- **Huge volume spike after a long fall** = possible capitulation (sellers exhausted)
- **Breakout on low volume** = suspicious, wait for confirmation



RICO SAYS

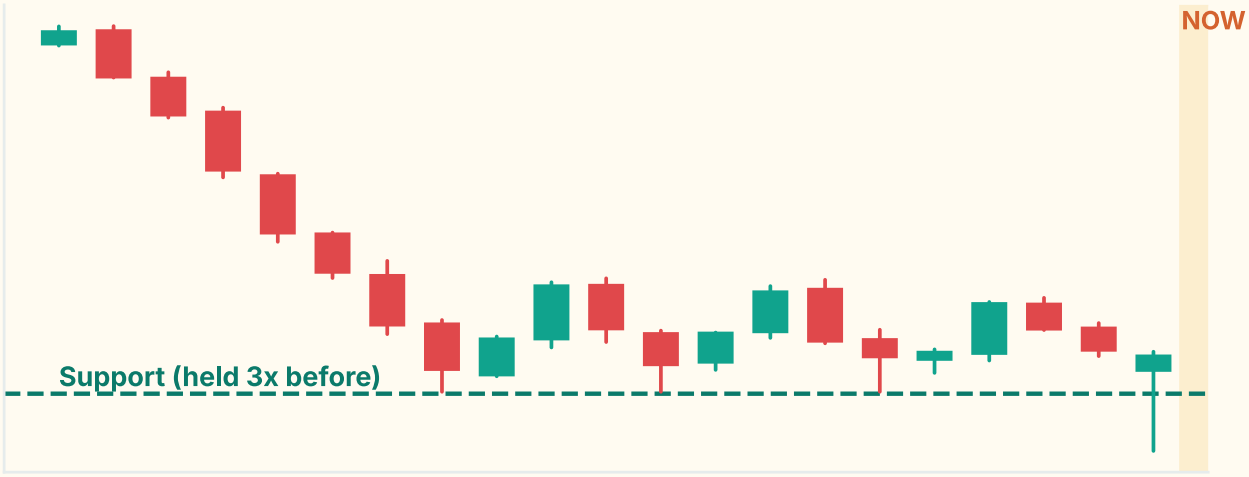
Volume can't be faked as easily as a single candle. When price and volume disagree, I trust volume.

RICO'S CALL #3

+2 pts

The hammer at support

This stock has fallen for three weeks. It has bounced off the same support level three times before. Today's candle is shown at the right edge (NOW).



- **A** Watch for confirmation (e.g. a strong green close tomorrow), then buy with a stop just below the hammer's low
- **B** Short it: the trend is down, so it will keep falling
- **C** Buy everything now: hammers always reverse
- **D** Ignore it: candles are random

Lock in your answer, then flip to page 75.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 75. If your reasoning matches, you really own the idea.

1. **A perfect hammer forms in the middle of a range, far from any support. Why should you give it less weight?**

2. **You trade on the 15-minute chart. Why look at the daily chart first?**

★ BOSS QUIZ · CHAPTER 3 +1 pt each

1 **A green candle opened at $20, hit $23, dipped to $19 and closed at $22. Where is the top of its body?**

- A $19
- B $20
- C $22
- D $23

2 **A long upper wick at resistance usually means...**

- A Buyers are firmly in control
- B Volume was zero
- C The market was closed
- D Sellers rejected higher prices

3 **A stock breaks above resistance on the lowest volume of the month. Best interpretation?**

- A Weak conviction, wait for confirmation
- B Very strong signal, buy immediately
- C Volume doesn't matter for breakouts
- D Short it immediately

4 **What does top-down analysis mean?**

- A Reading news headlines first
- B Only trading stocks in the top 10
- C Selling at the top
- D Starting on a higher timeframe for direction, then zooming in for timing

Answers on page 75. Log your score on the Scorecard at the back.



★ CHAPTER 3 COMPLETE

Nice work. Here's what to keep.

1. Candles show the fight: **wicks reveal rejection**, bodies show who won.
2. A pattern means little without **context**: where it forms matters more than its shape.
3. Read top-down: higher timeframe for direction, lower for timing. **Volume confirms**.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

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CandleFlip

Match cards and learn candlestick patterns from memory.

Open CandleFlip →



CHAPTER 4

Trends, Patterns & Indicators

Trends, support and resistance are the map. Chart patterns and indicators help you read it. Together they're the backbone of technical analysis.

> *Market action discounts everything. Prices move in trends. History repeats itself. (John J. Murphy)*

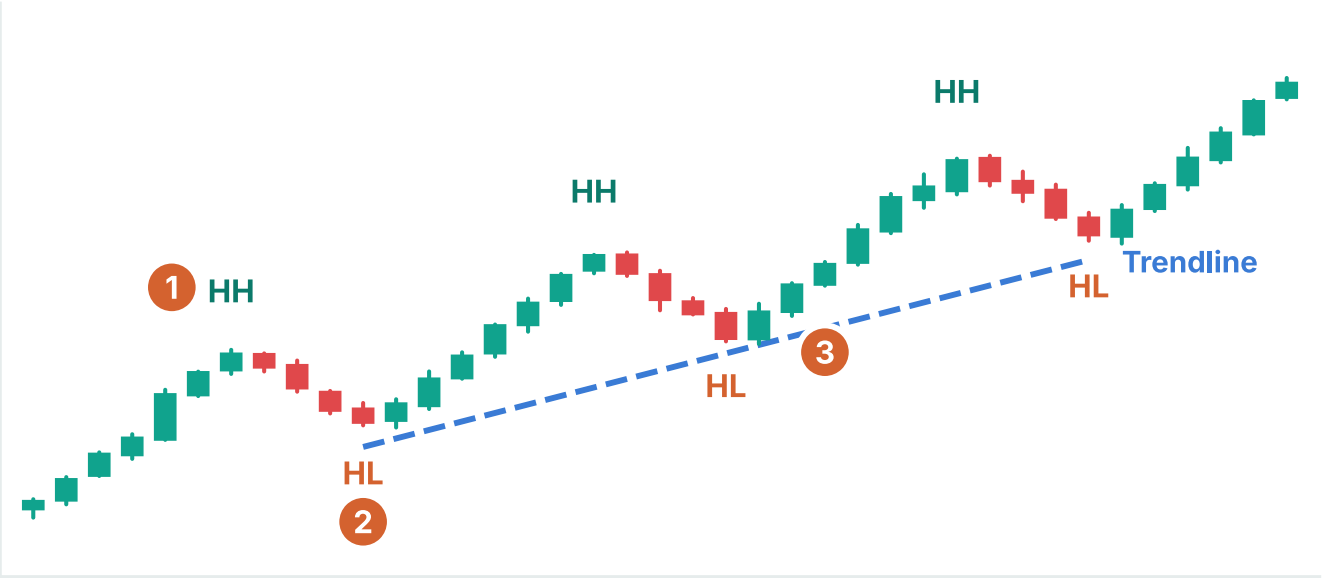


WHAT YOU'LL UNLOCK

- ✓ How to spot a real trend (HH/HL)
- ✓ Support & resistance, breakouts vs fakeouts
- ✓ 12 chart patterns traders actually use
- ✓ Moving averages, RSI, MACD and Bollinger Bands
- ✓ The one-indicator-per-job rule

What a trend really is

Forget gut feeling. A trend has a precise definition based on peaks and valleys.



Each peak is a Higher High (HH), each pullback a Higher Low (HL).



RICO WALKS YOU THROUGH IT

1. A **Higher High**: buyers push past the previous peak.
2. A **Higher Low**: the pullback stops above the previous low. Connect two of these and you have a trendline.
3. Pullbacks to the trendline are where trend-followers look to buy. The idea is wrong if price makes a **lower low**: that's your stop.

Uptrend

Higher highs **and** higher lows.

Downtrend

Lower highs **and** lower lows.

Range (sideways)

Price bouncing between a floor and a ceiling. No clear direction.



RICO SAYS

The uptrend is "broken" not when price dips, but when it makes a **lower low**. Pullbacks are normal. They're the trend taking a breath.

About two-thirds of the time, most markets are **not** trending cleanly. They're ranging or choppy. Trend-following strategies make their money in the minority of time when trends run, and they bleed slowly the rest of the time. Knowing which regime you're in is half the game.

Support & resistance: the floor and the ceiling





RICO WALKS YOU THROUGH IT

1. Repeated rejections at the same ceiling: sellers defend this zone. That's **resistance**.
2. Repeated bounces off the same floor: buyers defend this zone. That's **support**.
3. The ceiling finally breaks, price comes back to retest it, and it holds as a **new floor**. That retest is often the lowest-risk entry.

Support is a price zone where buying tends to overwhelm selling, like a floor. **Resistance** is where selling tends to overwhelm buying, like a ceiling. They exist because humans remember prices: traders who bought at $58 and watched it fall will happily sell at $58 to "get out even."

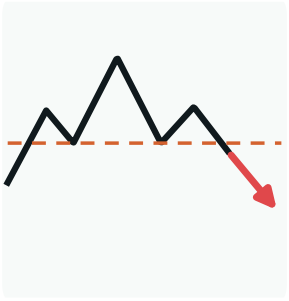
How to draw them like a pro

- **Zones, not lines.** Draw a band, not a laser-thin line. Markets are messy.
- **More touches = stronger**, up to a point. A level tested 5+ times is often about to break.
- **Round numbers matter**: $100, $50, 1.1000. Humans love them, so orders cluster there.
- **Role reversal**: broken resistance often becomes support (and vice versa).
- **Higher timeframes win.** A weekly level beats a 5-minute level every time.

12 chart patterns traders actually use

Reversals warn that a trend may be ending. Continuations suggest it's only pausing. Dashed lines show the level or trendline the breakout must clear.

Head & Shoulders



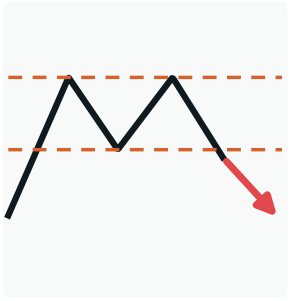
Bearish reversal

Inverse H&S



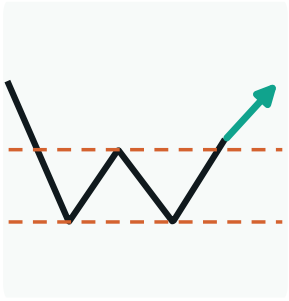
Bullish reversal

Double Top



Bearish reversal

Double Bottom



Bullish reversal

Cup & Handle



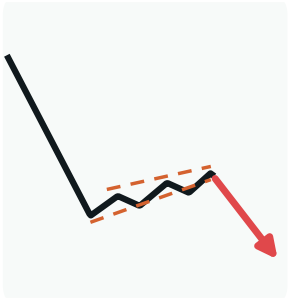
Bullish continuation

Bull Flag



Continuation up

Bear Flag



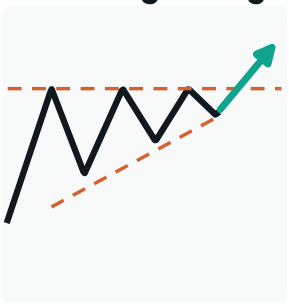
Continuation down

Pennant



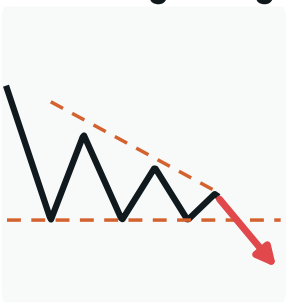
Continuation up

Ascending Triangle



Breakout up

Descending Triangle



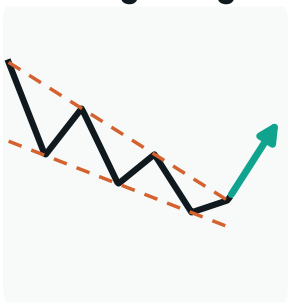
Breakdown

Rising Wedge



Bearish reversal

Falling Wedge



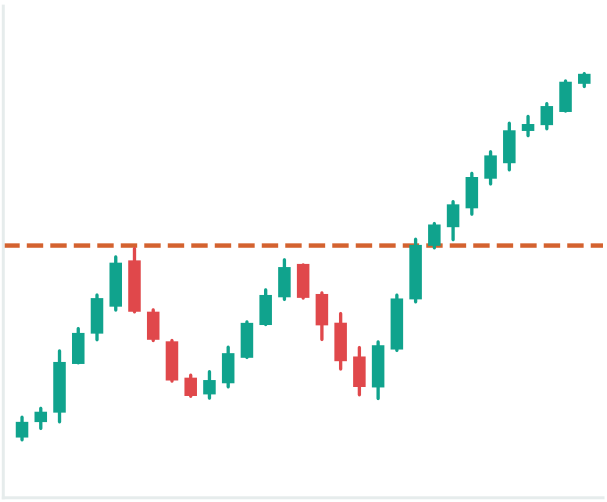
Bullish reversal

Pattern	Shape	Signal	Entry idea
Head & shoulders	Peak, higher peak, lower peak	Uptrend exhausting	Break of the "neckline"
Double bottom	Two lows at the same level (a W)	Downtrend exhausting	Break above the middle peak
Bull flag	Sharp rally, then a tight drift down	Trend pausing, likely to continue	Break above the flag
Ascending triangle	Flat ceiling, rising floor	Buyers getting more aggressive	Break of the flat ceiling

Breakout or fakeout?

The most expensive question in trading.

Real breakout: closes above + holds



Fakeout: pokes above, snaps back



⚠ BEAR TRAP · RICO'S WARNING

Buying the first poke above resistance

Fakeouts are designed (by the market, not a conspiracy) to trap eager breakout buyers. Stops cluster just above resistance; when they trigger, price spikes, then collapses. Protect yourself: **wait for a candle to close above the level**, look for **strong volume**, or buy the **retest** of the broken level.



MYTH

~~*"Chart patterns predict the future."*~~



✓ REALITY

Patterns describe *probabilities*, not certainties. Many "perfect" patterns fail. What makes them useful is that they give you a **clear invalidation point**: a place where you know you're wrong and get out cheaply.

Indicators: the truth first

Everything above reads price directly. Indicators re-plot that same price to make trend, momentum and volatility easier to see.

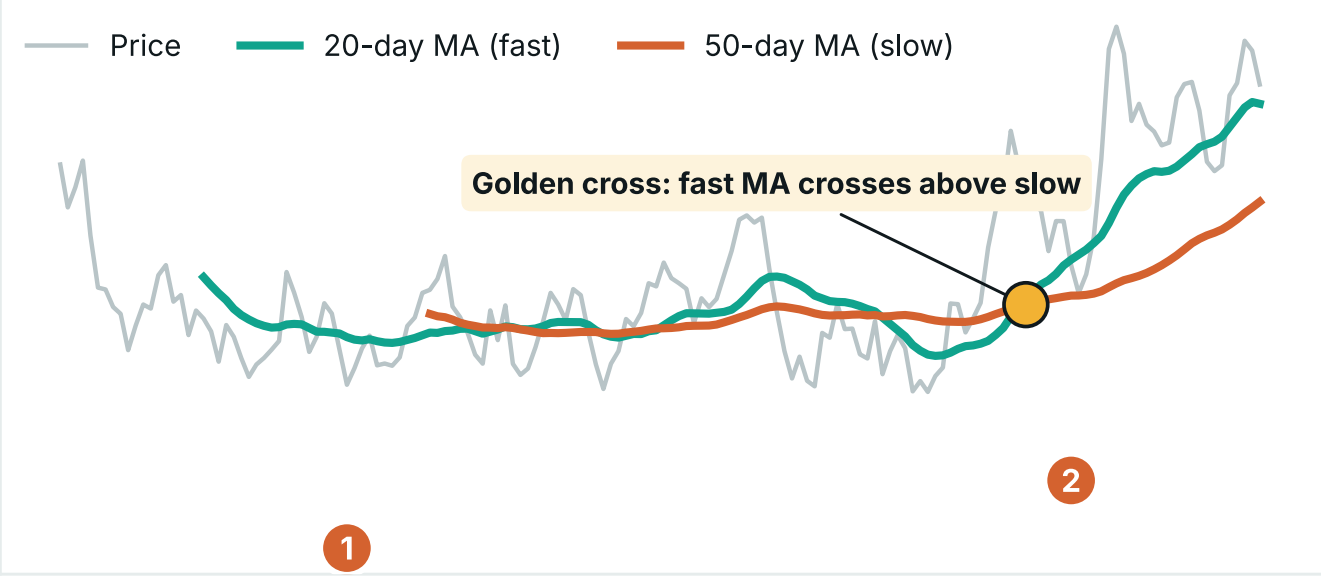
Every indicator below is a mathematical recipe applied to **past price (and sometimes volume)**. None of them knows the future. Their job is to summarise what price is doing in a way that's easier to read: is the trend up? Is momentum fading? Is the market unusually calm? Used that way, they're great. Used as crystal balls, they'll empty your account.



RICO'S SYSTEM

I group indicators by job: **trend** (moving averages), **momentum** (RSI, MACD) and **volatility** (Bollinger Bands). I use **one per job**. Five momentum indicators on one chart is like asking the same friend the same question five times.

Moving averages: the trend smoother





RICO WALKS YOU THROUGH IT

1. While price chops sideways, the moving averages tangle and cross back and forth. Crossover signals here are **whipsaws**.
2. Once a trend starts, the fast MA crosses above the slow one (golden cross) and both slope up. Late, but far more reliable.

A **simple moving average (SMA)** is the average closing price over the last N periods. The **exponential moving average (EMA)** gives more weight to recent prices, so it reacts faster. Popular settings: **20** (short-term), **50** (medium) and **200** (long-term trend).

- Price above a rising 200-day MA → long-term uptrend. Many funds won't buy below it.
- **Golden cross**: 50-day crosses above 200-day (bullish). **Death cross**: the reverse.
- In trends, moving averages often act as *dynamic support*: pullbacks bounce off them.

⚠ BEAR TRAP · RICO'S WARNING

Crossovers in a sideways market

Moving-average crossovers are great in trends and terrible in ranges. In choppy markets the lines cross back and forth, generating a stream of losing "signals" called **whipsaws**. First identify the regime (trending or ranging, as earlier in this chapter), then pick the tool.



RSI and MACD: measuring momentum



Top: price. Middle: RSI(14), between 0 and 100. Bottom: MACD line, its signal line and the histogram of their difference.

RSI (Relative Strength Index)

Compares the size of recent up-moves to recent down-moves on a 0–100 scale. Above **70** = overbought, below **30** = oversold.

The pro use: **divergence**. If price makes a new high but RSI makes a lower high, upward momentum is fading.

MACD

The gap between a 12- and 26-period EMA (the MACD line), plus a 9-period average of that gap (the signal line). When MACD crosses above its signal, momentum is turning up.

The histogram shows the distance between them: growing bars = accelerating momentum.

MYTH

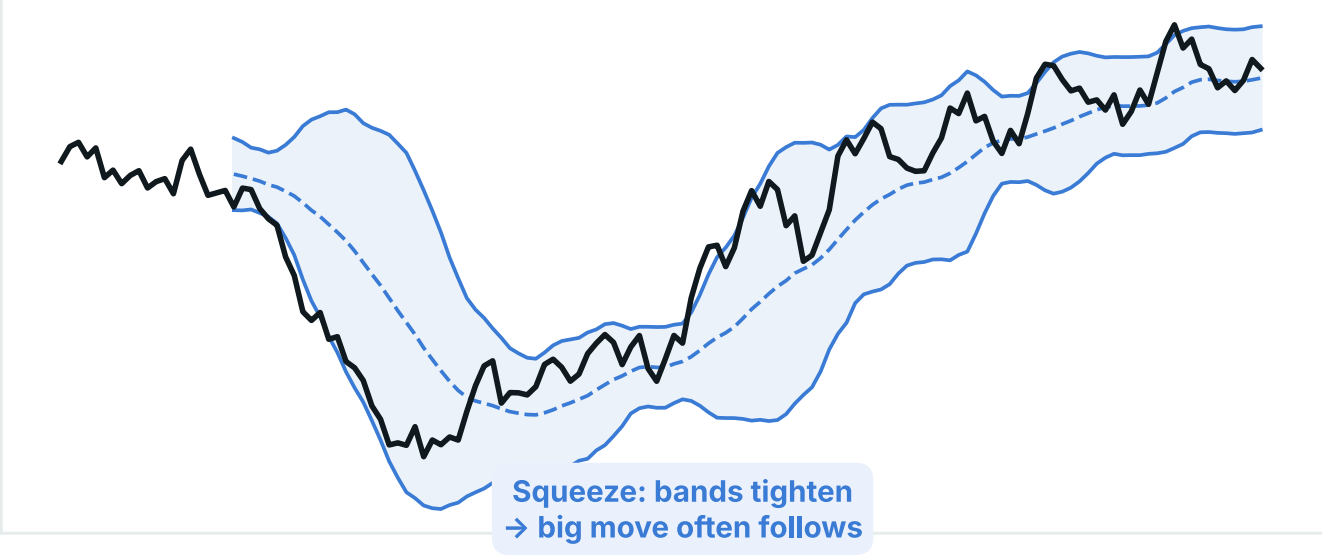
~~*"RSI above 70 means sell."*~~



✓ REALITY

In a strong uptrend RSI can stay above 70 for weeks while price keeps climbing. "Overbought" means *strong*, not *doomed*. In strong trends, many pros treat RSI 40–50 as a buy-the-dip zone instead.

Bollinger Bands: the volatility envelope



Bollinger Bands plot a 20-period moving average with a band two standard deviations above and below it. Statistically, price spends most of its time inside the bands. When the bands **squeeze** tight, the market is unusually quiet, and quiet markets tend to be followed by big moves. The bands won't tell you the direction, only that energy is building.

Cheat sheet: one indicator per job

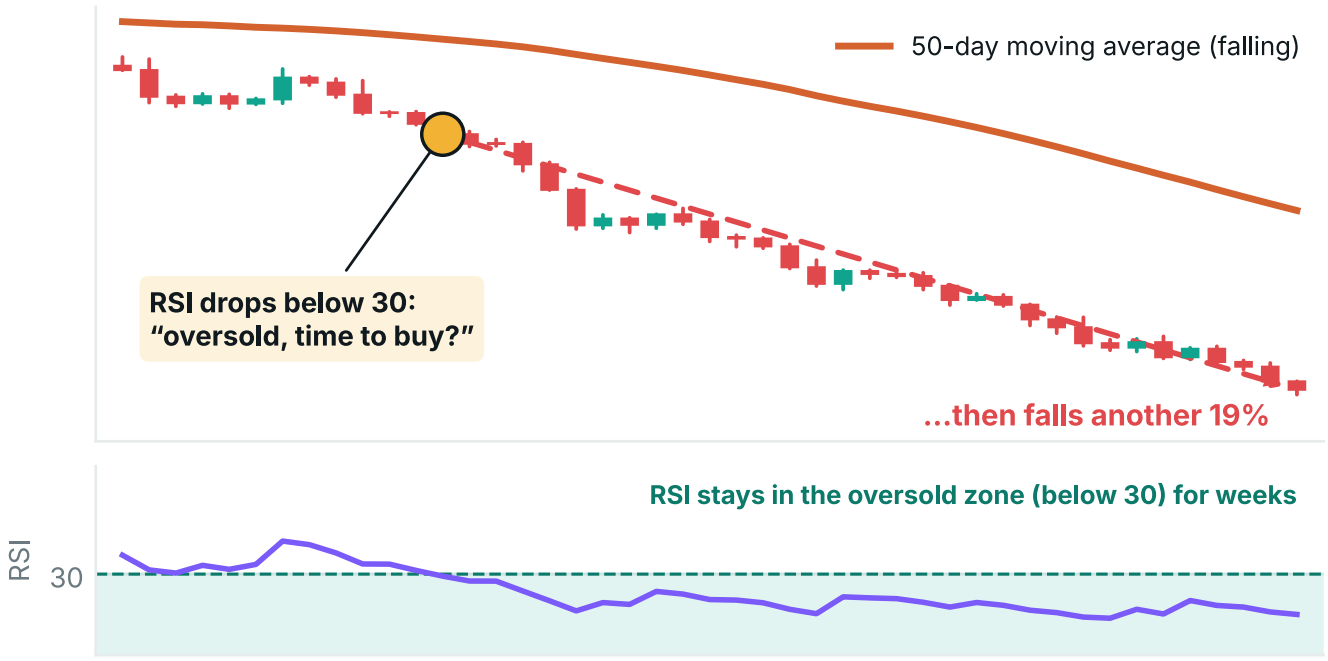
Job	Indicator	Best in	Classic signal	Classic trap
Trend	50/200 MA	Trending markets	Price above rising MA	Whipsaws in ranges
Momentum	RSI(14)	Ranges and divergences	Divergence, 30/70 levels	Shorting strong trends at 70
Momentum	MACD	Trend turning points	Signal-line cross	Lags at sharp reversals
Volatility	Bollinger	Spotting quiet before storms	Squeeze, then breakout	Assuming band touch = reversal

PRO MOVE

Confluence beats complexity

The strongest setups line up several **independent** clues: price at a key support zone, a bullish candle, RSI divergence, rising volume. Three different kinds of evidence agreeing beats ten indicators repeating the same thing.





A falling knife: RSI drops below 30 and looks “oversold”, but price keeps sliding under a falling 50-day moving average. Illustrative chart.

BEAR TRAP · RICO’S WARNING

Catching the falling knife

A stock that has fallen hard with RSI below 30 looks like “free money”. It isn’t. Oversold readings in a strong downtrend are a warning about momentum, not a buy signal, and RSI can sit below 30 for weeks while price keeps sinking. Wait for evidence that sellers are exhausted: a **higher low**, a **bullish divergence**, or price **reclaiming the moving average**. Adding leverage to the guess only makes the loss bigger and faster.



RICO'S CALL #4

+2 pts

Breakout, or bait?

This stock has been rejected at the same resistance level three times. Today it is poking just above it (NOW), but look at the volume bar under today's candle.



- **A** Wait: the poke has weak volume. Buy only on a close above resistance with strong volume, or on a successful retest
- **B** Buy immediately with a market order: breakout!
- **C** Short it: it failed three times, so it'll fail again
- **D** Buy double size to make up for missing the earlier moves

Lock in your answer, then flip to page 75.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 75. If your reasoning matches, you really own the idea.

1. **Why does broken resistance often turn into support?**

2. **Why can RSI stay above 70 for weeks during a strong rally?**

★ BOSS QUIZ · CHAPTER 4

+1 pt each

1 Which sequence defines an uptrend?

- A Higher highs and higher lows
- B Lower highs and lower lows
- C Higher highs and lower lows
- D Equal highs and equal lows

2 A stock broke above $50 resistance last week. It now pulls back to $50. What often happens?

- A It must fall to zero
- B $50 tends to act as new support
- C Resistance levels disappear once broken
- D The trend is automatically over

3 Price makes a new high, but RSI makes a lower high. This is...

- A Bearish divergence
- B A golden cross
- C A Bollinger squeeze
- D A volume spike

4 Why is stacking RSI, Stochastic and CCI on one chart usually pointless?

- A They all measure momentum, so they repeat the same information
- B They are illegal together
- C They only work on crypto
- D They slow down your computer

Answers on page 75. Log your score on the Scorecard at the back.



★ CHAPTER 4 COMPLETE

Nice work. Here's what to keep.

1. A trend is higher highs **and** higher lows. Support and resistance are **zones**, and broken resistance often becomes support.
2. Wait for a **close plus volume**, or a retest, before trusting a breakout. Patterns give you a clear point where you're wrong.
3. Use **one indicator per job**: trend, momentum, volatility. Overbought means strong, not doomed.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · GAME

Next Move

Look at a real chart, call the next move, and see what actually happened. Reading trends, levels and breakouts gets faster every round.

Open Next Move →



CHAPTER 5

Risk Management: The Real Edge

This is the chapter that separates traders who last from traders who become cautionary tales. Read it twice.

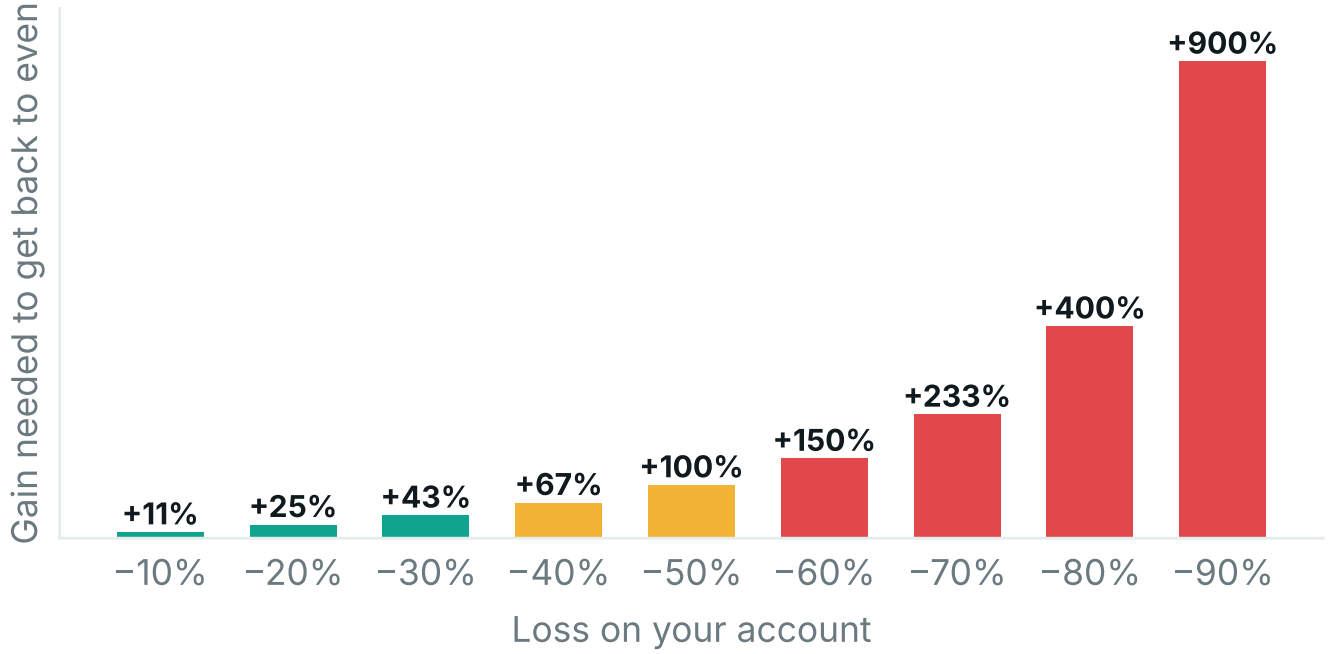
> *Great traders aren't right more often. They lose small when they're wrong and stay in the game long enough to be right.*



WHAT YOU'LL UNLOCK

- ✓ The 1% rule and why it works
- ✓ Position sizing in one formula
- ✓ Reward-to-risk and win rate
- ✓ Expectancy: is your strategy any good?
- ✓ The brutal maths of drawdowns

The maths that ends most trading careers



Losses and gains aren't symmetrical. Lose 50% and you need +100% just to get back to where you started.

Look at that chart for ten seconds. A 10% loss needs an 11% gain to recover. Manageable. A 50% loss needs **100%**. A 90% loss needs **900%**. This asymmetry is why professional traders obsess over protecting capital first and making money second. You can't compound an account that no longer exists.



RICO'S LAW

Offence wins trades. **Defence wins careers.** Every rule in this chapter exists to keep one bad week from turning into a blown account.

The 1% rule

Never risk more than about 1–2% of your account on a single trade.

Risk doesn't mean position size. It means **how much you lose if your stop-loss is hit**. With a $10,000 account, 1% risk means a losing trade costs you $100. Ten losses in a row, which *will* happen eventually, cost you about 10%. Painful, but very survivable.

1%
risk per trade: 10 losers in a row ≈ −10%

5%
risk per trade: 10 losers in a row ≈ −40%

10%
risk per trade: 10 losers in a row ≈ −65%

Position sizing: the most important formula in this book

HOW MANY SHARES SHOULD I BUY?

```
Shares = (Account × Risk %) ÷ (Entry price − Stop price)
```

Account $10,000 · Risk 1% = **$100** · Entry $50 · Stop $48 → risk per share **$2**
Shares = $100 ÷ $2 = **50 shares** (a $2,500 position). If the stop is hit, you lose exactly $100.

Notice what just happened: the **stop-loss determined the position size**, not the other way around. A trade with a tight stop gets more shares; a trade with a wide stop gets fewer. Your risk stays the same every time. This is the single habit that most separates professionals from gamblers.

Where to put the stop

- **At the point your idea is wrong**, not at a random % or the amount you "can afford."
- Just beyond structure: below the support zone, below the higher low, below the hammer's wick.
- Give it breathing room. Remember volatility from Chapter 3? A volatile stock needs a wider stop, which means fewer shares. Many traders measure this with ATR (Average True Range: how far the price normally moves in a day).
- If the logical stop is so far away that the position becomes tiny, **skip the trade**. That's a feature, not a bug.

Reward-to-risk: you don't need to be right most of the time

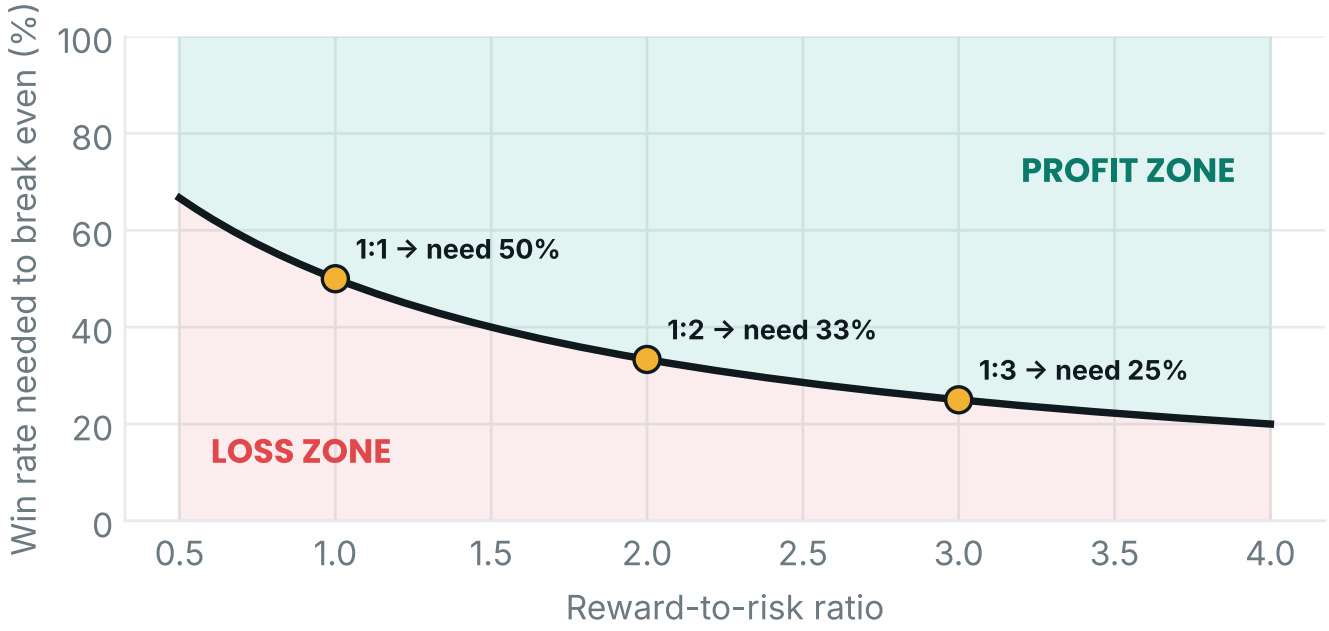


Risk $2 to make $6: a 1:3 reward-to-risk setup.



RICO WALKS YOU THROUGH IT

1. **Entry** after a pullback, as price starts turning up again.
2. **Stop** just under the pullback low: the place where the idea is proven wrong. Risk = $2.
3. **Target** at $6 above entry: three times the risk. Even if only 1 trade in 3 works, you still come out ahead.



The higher your reward-to-risk ratio, the lower the win rate you need to break even. At 1:3, you can be wrong 3 times out of 4 and still not lose money (before costs).

Expectancy: does your strategy actually make money?

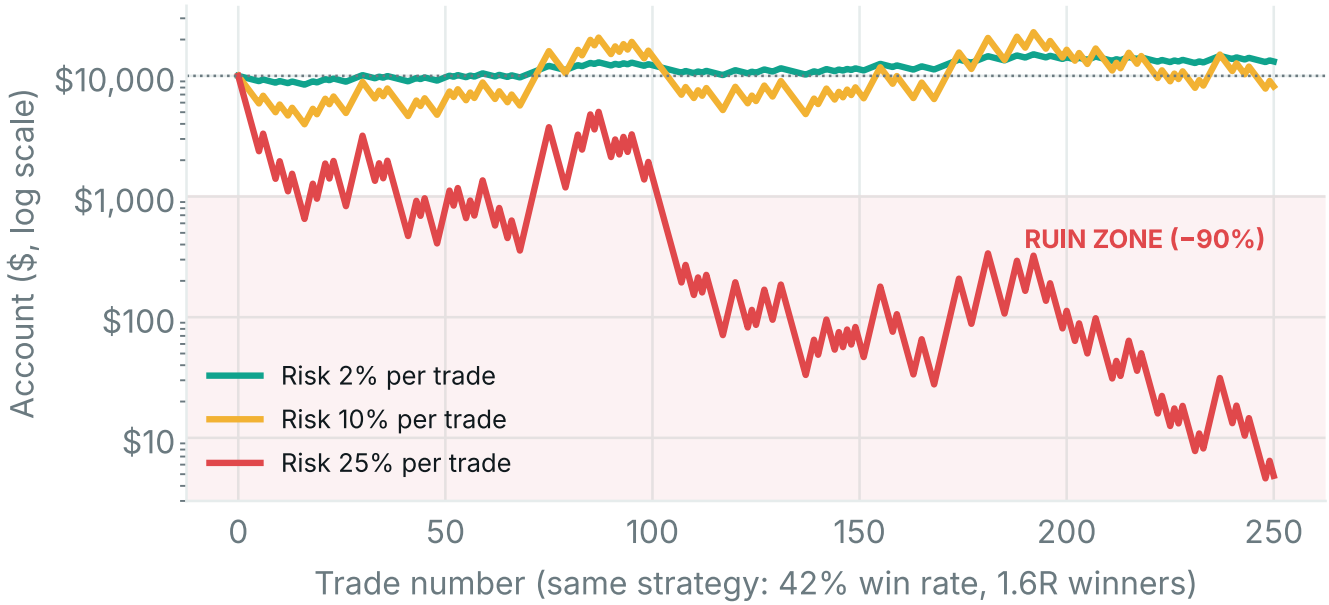
EXPECTANCY PER TRADE

E = (Win % × Average win) − (Loss % × Average loss)

40% win rate, average win $300, average loss $100
E = (0.40 × $300) − (0.60 × $100) = $120 − $60 = **+$60 per trade**. You lose most trades, and you still make money.

Positive expectancy is the definition of a trading **edge**. Without it, no amount of discipline helps; with it, discipline is what lets the edge show up. Calculate it from at least 30–50 real or backtested trades, and include costs (spread, commissions, slippage).

Risk of ruin: same strategy, different bet size



One simulated strategy with a small positive edge, three different risk levels. Same trades, same order. Only the bet size changes. Illustrative simulation, not a forecast.

The green line risks 2% per trade and grinds steadily higher. The gold line risks 10%: it spends most of the time below where it started, and its owner probably quits. The red line risks 25% and is wiped out, despite trading **exactly the same winning strategy**. Over-betting can turn a winning system into a losing account.



BEAR TRAP · RICO'S WARNING

The "just this once" oversized bet

It always feels like a special case: a sure thing, a chance to recover, a hot tip. Those are precisely the moments your judgment is worst. **Size rules exist for the trades you feel most confident about.**



PRO MOVE

Set circuit breakers

Pros use hard limits that switch off the screen: e.g. stop trading for the day after −3%, for the week after −6%, and halve position size after a 10% drawdown until you recover. Write yours down now, while you're calm.

RICO'S CALL #5 +2 pts

Size it right

Your account is $20,000 and you risk 1% per trade. You want to buy a stock at $80. The logical stop-loss, just below support, is $76. How many shares do you buy?

- **A** 250 shares (the whole account)
- **B** 200 shares
- **C** 50 shares
- **D** 100 shares

Lock in your answer, then flip to page 76.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 76. If your reasoning matches, you really own the idea.

1. **Why should the stop distance decide your position size, and not the other way around?**

2. **Explain how a strategy that loses 60% of its trades can still make money.**

★ BOSS QUIZ · CHAPTER 5

+1 pt each

1 Your account falls 50%. What gain do you need to get back to even?

- A 50%
- B 75%
- C 100%
- D 150%

2 Win rate 50%, average win $200, average loss $100. Expectancy per trade?

- A +$50
- B +$100
- C $0
- D −$50

3 $5,000 account, 2% risk, entry $10.00, stop $9.50. Position size?

- A 100 shares
- B 200 shares
- C 500 shares
- D 1,000 shares

4 With a 1:2 reward-to-risk ratio, roughly what win rate do you need to break even (before costs)?

- A 25%
- B 33%
- C 50%
- D 66%

Answers on page 76. Log your score on the Scorecard at the back.



★ CHAPTER 5 COMPLETE

Nice work. Here's what to keep.

1. Risk about **1% per trade**. Losses are asymmetric: −50% needs +100% to recover.
2. **Shares = risk ÷ stop distance.** The stop decides the size, never the reverse.
3. Positive **expectancy** is your edge. Over-betting can ruin even a winning strategy.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · CALCULATOR

Position Size Calculator

Enter your account size, risk % and stop, and get the exact number of shares in one click. Use it before **every** trade until the formula becomes a reflex.

Open Position Size Calculator →



CHAPTER 6

Trading Psychology

Your biggest opponent in the market isn't a hedge fund. It's the person staring back from your screen.

> *Markets can stay irrational longer than you can stay solvent. (John Maynard Keynes)*



WHAT YOU'LL UNLOCK

- ✓ The emotional cycle of every trade
- ✓ 6 brain bugs that cost traders money
- ✓ Tilt: spotting it before it costs you
- ✓ The trading journal habit

Your brain was built for the savannah, not the stock market

Evolution trained us to run from danger, follow the herd and grab rewards quickly. In markets, those instincts make us sell in panic at the bottom, chase what everyone else is buying, and take small profits while letting losses run. Good trading often feels **unnatural**, and that's exactly why most people can't do it.



The emotional cycle: the moment you feel most invincible is often the moment of maximum risk, and vice versa.

Six brain bugs (and the patch for each)

Bug	What it sounds like	The patch
Loss aversion	"I'll sell when it gets back to what I paid."	Your entry price is irrelevant to the market. Respect the stop.
FOMO	"It's up 40% this week, I have to get in!"	If you missed the setup, you missed it. Another one comes.
Revenge trading	"I need to win that back. Now."	Hard daily loss limit. Close the platform.
Overconfidence	"Five winners in a row. Let's double size."	Size stays fixed. Streaks are mostly variance.
Confirmation bias	"Everything I read says I'm right."	Before every trade, write the bear case.
Anchoring	"It was $200 last year, so $120 is cheap."	Past prices aren't value. Look at today's facts.



RICO SAYS

Studies of behavioural finance (Kahneman and Tversky's work, for instance) suggest a loss hurts roughly **twice as much** as an equal gain feels good. That's why cutting losers feels so painful, and why it's so profitable to get good at it.

Tilt: when emotion takes the wheel

Borrowed from poker: playing badly because you're upset. Every trader tilts. Winners notice it sooner.

CALM	ON EDGE	TILTING	FULL TILT
• Following your plan • Losses feel like business costs • Comfortable sitting in cash	• Checking P&L every few minutes • Moving a stop "just a little" • Trading out of boredom	• Doubling size to recover • Skipping your checklist • Angry at "the market"	• Adding to losers • Removing stop-losses • Trading things you don't know

BEAR TRAP · RICO'S WARNING

Revenge trading

After a painful loss your brain wants to "get even" immediately. That urge pushes you into bigger, faster, worse trades exactly when your judgment is weakest. One bad trade becomes one blown day becomes one blown account. **Rule: after hitting your daily loss limit, the platform closes. No exceptions.**



The trading journal: your personal cheat code

Memory is flattering. Journals are honest. Logging every trade is the fastest way to find out what actually works for *you*: which setups make money, which times of day you trade badly, which emotions precede your worst decisions. Most traders who keep detailed journals improve faster than those who don't, because they stop repeating the same mistake.

Date	Ticker	Setup	Entry / Stop / Target	Size & risk	Result (R)	Emotion 1–5	Followed plan?	Lesson
							Y / N	
							Y / N	
							Y / N	

PRO MOVE

Grade the process, not the outcome

A trade that followed your plan and lost is a **good trade**. A trade that broke your rules and won is a **bad trade**, and a dangerous one, because it teaches you the wrong lesson. Score yourself on rule-following, and the P&L will follow.



RICO'S CALL #6

+2 pts

Three red in a row

It's 11:30. You've taken three losing trades this morning, all following your plan, and you're down 3% for the day, which is your daily loss limit. You spot what looks like a great setup. You feel like doubling your size to "win it all back."

- **A** Take the trade at double size: you're due a winner
- **B** Stop trading for the day. Review the three losses in your journal tomorrow, calmly
- **C** Take the trade at normal size: it's a good setup
- **D** Switch to a different market you don't usually trade

Lock in your answer, then flip to page 76.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 76. If your reasoning matches, you really own the idea.

1. **Why should a trade that broke your rules but made money be graded as a bad trade?**

2. **After five losses in a row, why are you not "due" a winner?**

BOSS QUIZ · CHAPTER 6 +1 pt each

1 After four winning trades you feel unstoppable and want to double your position size. This is mostly...

- A Overconfidence bias after normal variance
- B A sign your edge has improved
- C Correct Kelly sizing
- D Risk management

2 You refuse to sell a losing stock until it gets back to your entry price. Which bias?

- A Loss aversion / anchoring to entry
- B FOMO
- C Recency bias
- D Hindsight bias

3 A trade broke all your rules but made money. How should you grade it?

- A Good trade: it made money
- B Neutral
- C Double size next time
- D Bad trade: it broke the process

4 What is the best defence against revenge trading?

- A A pre-set daily loss limit that ends the session
- B Trading larger to recover faster
- C Turning off stop-losses
- D Following more social media tips

Answers on page 76. Log your score on the Scorecard at the back.



CHAPTER 6 COMPLETE

Nice work. Here's what to keep.

1. Your instincts (loss aversion, FOMO, revenge) push you to do the **opposite** of what works.
2. Set hard **daily and weekly loss limits** while you're calm, and obey them.
3. Journal every trade and **grade the process**, not the outcome.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · GAME

FastScan

Calm, focused reactions are a trainable skill. FastScan sharpens your attention and reaction speed in short rounds, the same focus you need when a trade moves fast.

Open FastScan →



CHAPTER 7

Company Fundamentals

Charts show you *how* a stock moves. Fundamentals tell you what the business is actually worth, and why its price might change.

> *In the short run the market is a voting machine.*
> *In the long run it's a weighing machine.*
> *(Benjamin Graham)*



WHAT YOU'LL UNLOCK

- ✓ Reading a company in 5 numbers
- ✓ P/E and valuation, demystified
- ✓ Earnings season and gaps
- ✓ Why a beat can still sink a stock

A company in five numbers

You don't need to be an accountant. These five tell you most of the story.

Metric	What it tells you	Rough green flag	Red flag
Revenue growth	Is the business selling more each year?	Steady growth, accelerating	Shrinking sales
Profit margin	How much of each $1 of sales is kept as profit	Stable or rising	Falling year after year
EPS (earnings per share)	Profit divided by number of shares	Growing over time	Shrinking, or many new shares issued
Free cash flow	Real cash left after running and investing in the business	Positive and growing	Profits on paper, but cash keeps leaking
Debt	How much it owes vs what it earns	Comfortably covered by earnings	Debt growing faster than profits



RICO SAYS

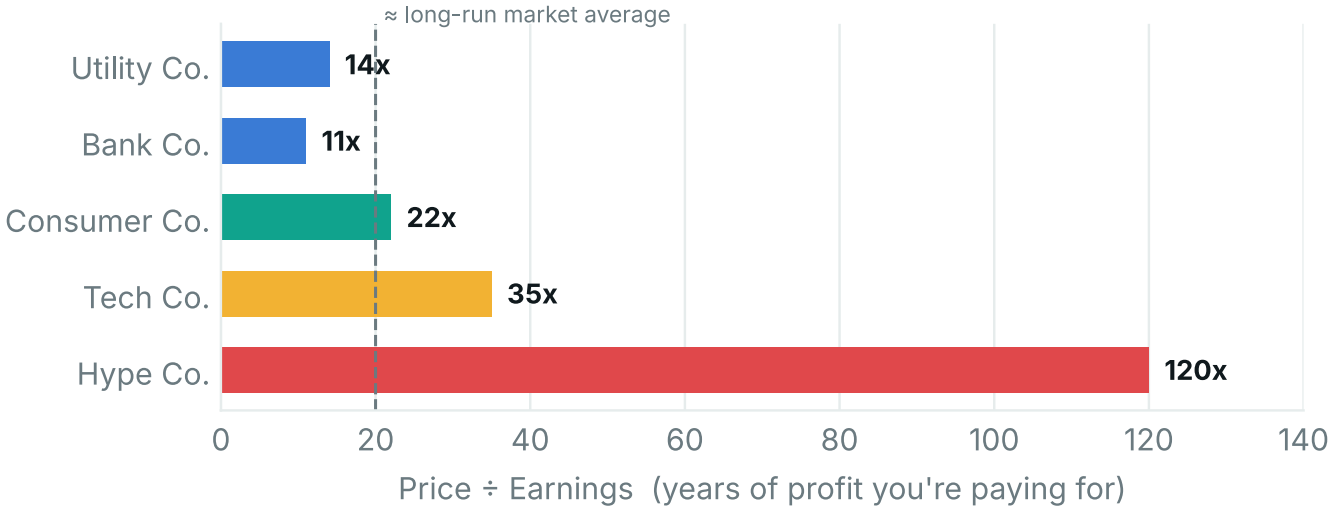
Profits can be massaged with accounting choices. Cash is much harder to fake. When I'm unsure about a company, I look at **free cash flow** first.

Valuation: what are you paying for?

PRICE-TO-EARNINGS RATIO

P/E = Share price ÷ Earnings per share

Price $100, EPS $5 → P/E = **20**. You're paying $20 for every $1 of yearly profit, or about 20 years of today's profits.



Illustrative P/E ratios. Neither high nor low is automatically good: a high P/E means the market expects fast growth, a low one may signal low growth or hidden problems.

MYTH

~~*"A low P/E means the stock is cheap."*~~

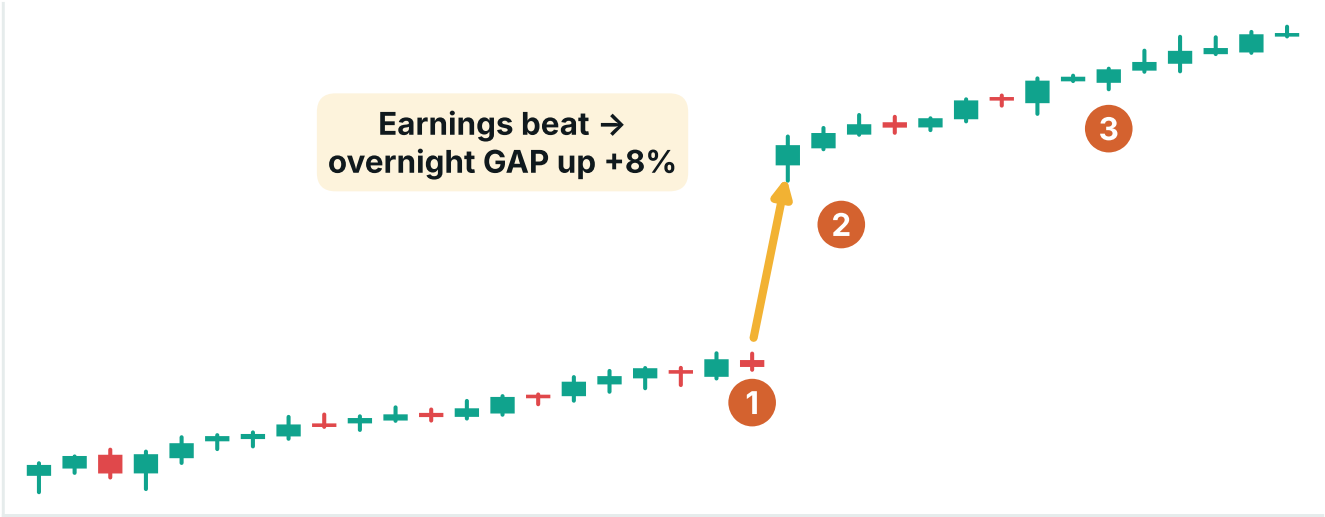


✓ REALITY

Sometimes it's cheap. Sometimes it's cheap because profits are about to fall. That's called a **value trap**. Always ask: why is the market pricing it this low, and what do I know that it doesn't?

Earnings season: four times a year, the volatility party

Public companies report results every quarter. The stock reacts to the **surprise**: actual numbers vs analyst expectations, and especially **guidance** (what management expects next). Because results are released outside trading hours, stocks often open far from where they closed: a **gap**.





RICO WALKS YOU THROUGH IT

1. The last close before earnings. Any stop-loss you had sat just below here.
2. The results come out overnight and price **gaps** 8% higher. If this had been a gap down, stops would have filled near the open, far below their level.
3. The gap **holds** over the following days: buyers are defending the new price. That is a sign of real strength, not just a one-day spike.

⚠ BEAR TRAP · RICO'S WARNING

Holding a full-size position through earnings

Stop-losses don't protect you from gaps. If you're at $50 with a stop at $47 and the stock opens at $40, you get filled near $40. Either reduce size before earnings so a big gap is survivable, or close and re-evaluate after the numbers.

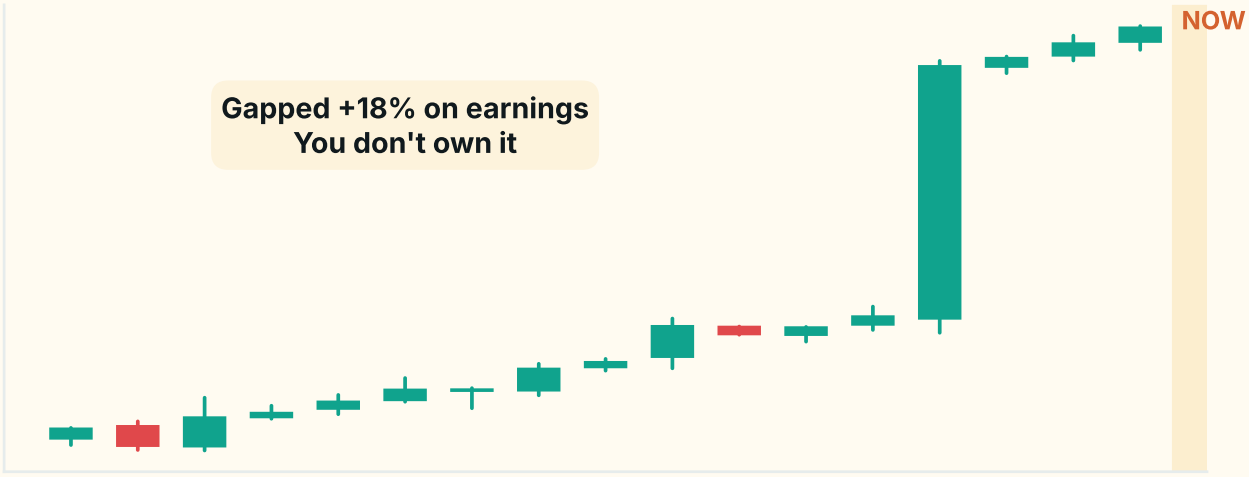


RICO'S CALL #7

+2 pts

The gap you missed

A stock you've been watching reported blowout earnings and opened +18% this morning. You don't own it. Social media is full of rocket emojis. Your watchlist alert is going crazy.



- **A** Market-buy now at the open before it goes higher
- **B** Let the first frenzy pass. If it builds a tight consolidation that holds above the gap, plan an entry with a stop below that base, sized with the 1% rule. Or simply pass
- **C** Short it: +18% is too much, it must come back
- **D** Buy double size: a blowout like this means it can only go up

Lock in your answer, then flip to page 77.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 77. If your reasoning matches, you really own the idea.

1. **Why can a stock with a low P/E still be a bad buy?**

2. **Why can a company beat earnings estimates and still see its stock fall?**

BOSS QUIZ · CHAPTER 7 +1 pt each

1 Share price $60, EPS $3. What is the P/E?

- A 3
- B 18
- C 20
- D 180

2 A company beats earnings estimates but the stock falls 8%. Most likely reason?

- A The beat was illegal
- B Earnings never affect stocks
- C Guidance for next quarter disappointed, or the beat was smaller than hoped
- D The P/E became too low

3 Why might a stop-loss fail to protect you over earnings?

- A Brokers disable stops during earnings
- B Price can gap past your stop overnight
- C Stops only work on ETFs
- D Stops are triggered by volume, not price

4 Which number is hardest to inflate with accounting choices?

- A Earnings per share
- B P/E ratio
- C Revenue growth
- D Free cash flow

Answers on page 77. Log your score on the Scorecard at the back.



CHAPTER 7 COMPLETE

Nice work. Here's what to keep.

1. Five numbers tell most of a company's story. **Free cash flow** is hardest to fake.
2. P/E shows what you pay for a year of profit. **Low isn't automatically cheap.**
3. Earnings move stocks on the **surprise and the guidance**, and they can gap straight past your stop.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · CALCULATOR

Stock Profit Calculator

Model the outcome before you commit: buy price, sell price, shares and fees, and see your real return. Perfect for planning an earnings play with a size you can live with.

Open Stock Profit Calculator →



CHAPTER 8

Markets & the Economy

Interest rates, inflation, jobs and growth move every market at once. Learn to read them before they move your trades.

> *Interest rates are to asset prices what gravity is to the apple. (Warren Buffett)*



WHAT YOU'LL UNLOCK

- ✓ How to read the economic calendar
- ✓ The big five releases: rates, CPI, jobs, GDP, PMI
- ✓ The economic cycle
- ✓ Why good news can sink a market

The economy: the tide that lifts (or sinks) all boats

Individual companies are boats. The economy is the tide. Central banks set interest rates to fight inflation or support growth, and rates ripple through every asset. You don't need to forecast the economy, but you **must** know when the big announcements are, because they move everything.

How to read the economic calendar

Every big release is scheduled in advance. The calendar tells you when, how important, and what everyone expects.

Time	Cur.	Event	Impact 1	Actual 2	Forecast 3	Surprise 4	Previous 5
13:30	**USD**	Non-Farm Payrolls (jobs)	●●●	**254K**	140K	**+114K**	159K
13:30	**USD**	CPI inflation y/y	●●●	**2.9%**	3.1%	**−0.2 pts**	3.2%
10:00	**EUR**	Manufacturing PMI	●●○	**48.1**	48.5	**−0.4**	48.0
19:00	**USD**	Fed interest rate decision	●●●	**4.50%**	4.50%	**None**	4.75%

An illustrative calendar day. Times in GMT. Green = above forecast, red = below forecast.



RICO WALKS YOU THROUGH IT

1. **Impact:** how much this release usually moves markets. Three dots means traders everywhere are watching.
2. **Actual:** the number that was just released.
3. **Forecast:** what economists expected. Markets have already moved to price this in before the release.
4. **Surprise = actual − forecast.** This is what moves price. Here jobs beat by 114K, inflation came in 0.2 points cooler, and the Fed did exactly what was expected, so no surprise. Most calendars don't show this column: work it out in your head.
5. **Previous:** last period's number, for context. It is sometimes revised, which can move markets too.

LEVEL UP ON PROFIT.COM · TOOL

Economic Calendar

Every release from this chapter in one place: the time, the impact, the forecast and the actual number the moment it lands. Check it every Monday, and before every trade.

Open the Economic Calendar →



The big five releases

Five numbers move markets more than almost anything else. Learn what each one measures.

Interest rate decision

ABOUT 8× A YEAR

The central bank (the Fed in the US, the ECB in Europe, the Bank of England in the UK) sets the base cost of borrowing.

If it surprises higher: the currency tends to rise; stocks and bonds often fall. The press conference afterwards can move markets as much as the decision.

CPI inflation

MONTHLY

How fast consumer prices are rising. It's the number central banks watch most closely.

If it surprises higher: rate-hike fears grow: stocks and bonds often fall, and the currency often rises.

Jobs report (NFP)

MONTHLY, 1ST FRIDAY

US Non-Farm Payrolls: how many jobs the economy added, plus unemployment and wage growth.

If it surprises higher: the economy looks strong, but rates may stay higher for longer. The reaction depends on what inflation is doing.

GDP

QUARTERLY

The total output of the economy: is it growing or shrinking?

If it surprises higher: stocks and the currency tend to be supported. Two shrinking quarters in a row is a common recession signal.

PMI surveys

MONTHLY

Purchasing managers rate business activity. Above 50 means expanding, below 50 means shrinking.

If it surprises higher: an early sign that growth is picking up, often weeks before GDP confirms it.

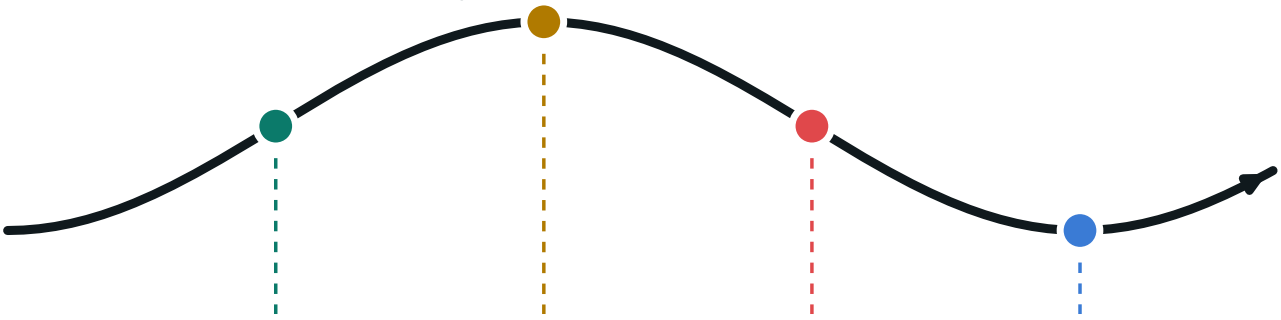
When this happens…	Stocks	Bonds	Currency	Gold
Central bank raises rates (surprise)	↓ usually	↓ prices	↑ usually	↓ often
Inflation (CPI) comes in hotter than expected	↓ often	↓	↑ (more hikes priced in)	mixed
Strong jobs report	↑ or ↓ (depends on inflation fears)	↓	↑	↓ often
Recession fears rise	↓	↑ prices (safe haven)	mixed	↑ often

General tendencies, not rules. Context and expectations matter: a "bad" number that was better than feared can send markets up.

The economic cycle

Economies move in waves. Different assets tend to lead in different phases.

Markets usually move months before the economy does.



EXPANSION
Jobs and profits grow. Stocks tend to do well.

PEAK
Inflation and rates run high. Commodities often lead.

CONTRACTION
Growth slows, jobs are cut. Bonds and cash hold up.

TROUGH
Rates are cut, fear peaks. Stocks often turn up first.

A simplified cycle. Real cycles vary in length and don't follow a timetable. Tendencies, not rules.

"Priced in": why good news can sink a market

Markets trade on expectations. By the time a release comes out, the forecast is already in the price. So a good number can disappoint if an even better one was expected, and a bad number can spark a rally if it was less bad than feared. Traders sum it up as **buy the rumour, sell the news**: prices often rise into an expected event and fall once it happens.

MYTH

~~*"Good news makes prices go up."*~~



✓ REALITY

Better-than-expected news tends to. News that only matches expectations is already priced in, and strong economic data can even push stocks down if it means interest rates stay higher for longer.

⚠ BEAR TRAP · RICO'S WARNING

Trading the first seconds after a release

In the first minutes after a big release, spreads widen, prices whip both ways and stop-losses can be skipped. Professionals often wait for the first reaction to settle. If you hold a position into a high-impact release, size it as if it might gap.



⚡ PRO MOVE

Check the calendar every Monday

On Monday, scan the week's high-impact releases: rate decisions, CPI, jobs, GDP, and earnings for anything you hold. Avoid opening new positions minutes before them unless that is your strategy.



RICO'S CALL #8

+2 pts

Good news, bad day

It's the first Friday of the month. The US jobs report (NFP) comes in at 254K against a forecast of 140K: a big beat. The stock index you're watching jumps for one candle, then sells off steadily. Bond yields are rising.



- **A** It's a glitch. Buy the dip right away with leverage before it bounces
- **B** The numbers must be wrong. Short heavily: it will keep crashing
- **C** Jobs reports don't matter for stocks, so ignore it
- **D** Strong jobs can mean interest rates stay higher for longer, which weighs on stocks. Let the volatility settle and watch how bonds react before acting

Lock in your answer, then flip to page 77.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 77. If your reasoning matches, you really own the idea.

1. **Why might a very strong jobs report push stocks down?**

2. **Why do markets react to the surprise rather than to the number itself?**

BOSS QUIZ · CHAPTER 8 +1 pt each

1 **The calendar shows CPI with a forecast of 3.1% and a previous reading of 3.2%. The actual number comes in at 2.9%. What's the surprise?**

- A Inflation came in cooler than expected, so markets may price in lower rates
- B Inflation is higher than expected
- C No surprise: it's just below last month
- D Inflation is rising fast

2 **Inflation comes in much hotter than expected. Which reaction is most typical?**

- A Rate-hike expectations rise and stocks come under pressure
- B Bond prices rise
- C Gold always doubles
- D Nothing: markets ignore inflation

3 **A manufacturing PMI comes in at 47. What does that suggest?**

- A The economy grew 47%
- B Inflation is 4.7%
- C Activity in the sector is shrinking
- D 47% of managers are optimistic

4 **Economists expected a strong jobs report, and that's exactly what came out. Stocks barely move. Why?**

- A The data was ignored
- B Markets were closed
- C The result was already priced in, so there was no surprise
- D Jobs data never matters

Answers on page 77. Log your score on the Scorecard at the back.



CHAPTER 8 COMPLETE

Nice work. Here's what to keep.

1. The **surprise versus forecast** moves price, not the number itself.
2. Rates, CPI, jobs, GDP and PMI move every market. **Check the calendar every Monday.**
3. Good news can push prices down if it means **higher interest rates for longer**.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · GAME

Bull Run

Headlines hit, prices react, and you have seconds to decide. Bull Run trains fast, calm reactions to market news and events, with no real money at risk.

Play Bull Run →



CHAPTER 9

Portfolio Management

Single trades are battles. Your portfolio is the war. This is how investors build wealth that survives bad years.

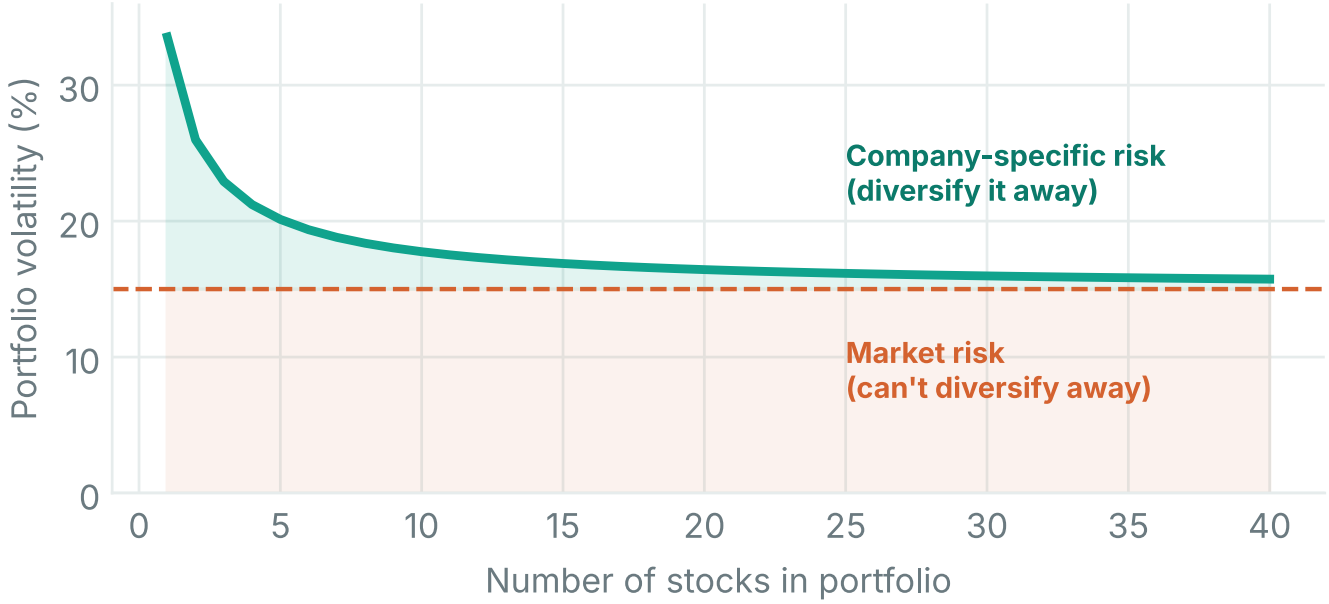
> *Don’t look for the needle in the haystack. Buy the haystack. (John Bogle)*



WHAT YOU’LL UNLOCK

- ✓ Diversification that actually works
- ✓ Correlation: the hidden risk
- ✓ Asset allocation for your risk level
- ✓ The Sharpe ratio: return per unit of risk
- ✓ Compounding, DCA and rebalancing

Diversification: the only free lunch in finance



Adding stocks removes company-specific risk fast, but the market's own swings can't be diversified away within stocks. Illustrative model.

Owning one stock means one bad earnings report, one lawsuit or one failed product can sink you. Owning 20–30 stocks across different industries removes most of that **company-specific risk**. What's left is **market risk**: when the whole market drops, most stocks drop together. To reduce that, you need different *kinds* of assets.

Correlation: diversification's hidden trap

	US stocks	Euro stocks	Gov bonds	Gold	Bitcoin
US stocks	1	+0.85	-0.20	+0.05	+0.35
Euro stocks	+0.85	1	-0.15	+0.10	+0.30
Gov bonds	-0.20	-0.15	1	+0.30	-0.05
Gold	+0.05	+0.10	+0.30	1	+0.15
Bitcoin	+0.35	+0.30	-0.05	+0.15	1

Correlation measures how two assets move together, from −1 (opposite) to +1 (in lockstep).

Owning five tech stocks and a tech ETF isn't diversification. It's one bet wearing six hats. Real diversification combines assets that **don't** all fall at the same time.

Values are illustrative. Correlations change over time, and in a crisis many assets suddenly fall together.

⚠ BEAR TRAP · RICO'S WARNING

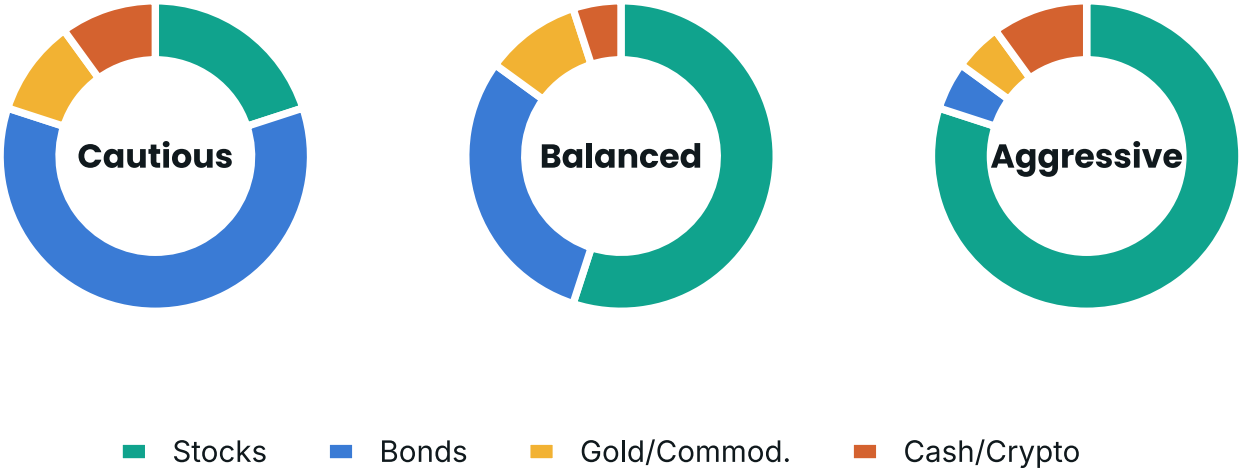
Diversifying into the same thing

Ten different crypto coins, or the five most popular AI stocks, look diverse on your screen. In a sell-off they'll usually fall together. Check what **drives** each holding, not just its ticker.



Asset allocation: the decision that matters most

How you split money between stocks, bonds, commodities and cash drives most of your portfolio's long-run behaviour, more than which individual stocks you pick. Your mix should match your **time horizon** and how much of a drop you can stomach without panic-selling.



Three example allocations. Illustrative only, not recommendations.

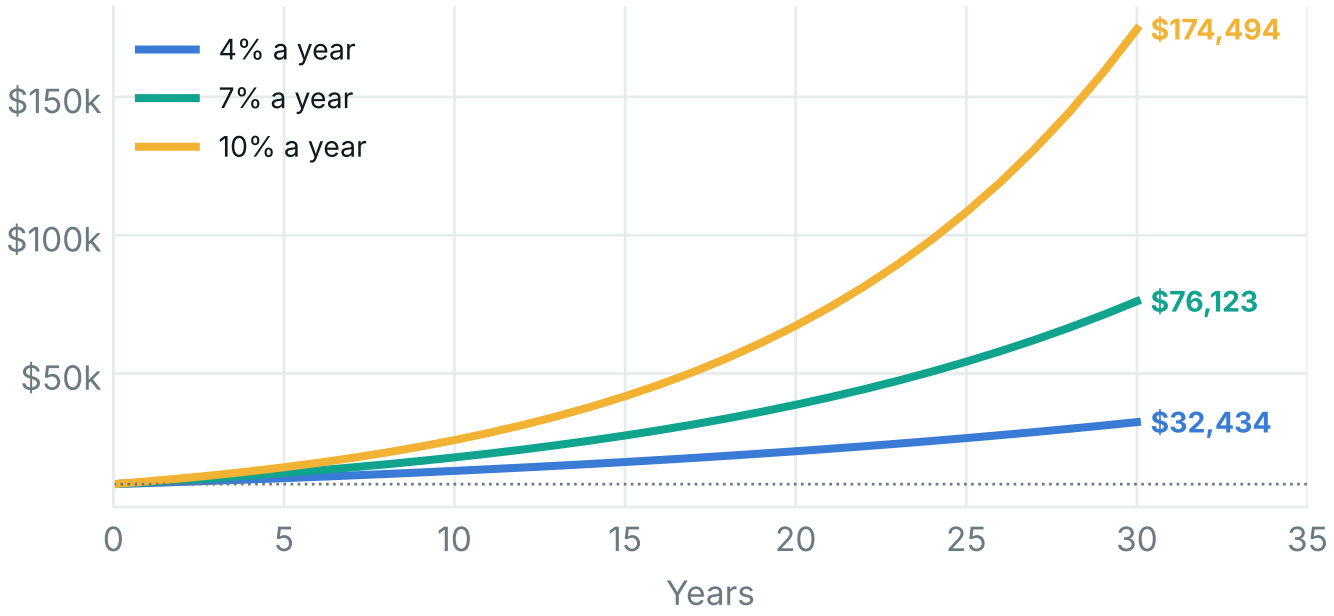
Profile	Could survive a…	Typical horizon	Main risk
Cautious	−10% to −15% year	1–5 years	Inflation quietly eats returns
Balanced	−20% to −30% year	5–15 years	Bond and stock losses together (rare but real)
Aggressive	−40% to −50% year	15+ years	Panic-selling at the bottom

Core and satellite: how many active traders structure it

CORE (70–90%)
Diversified, low-cost index funds. Rarely touched. Does the heavy lifting of wealth building.

SATELLITE (10–30%)
Your active trades and high-conviction ideas. Where you apply everything in this book, with a cap on how much can go wrong.

Compounding: the eighth wonder



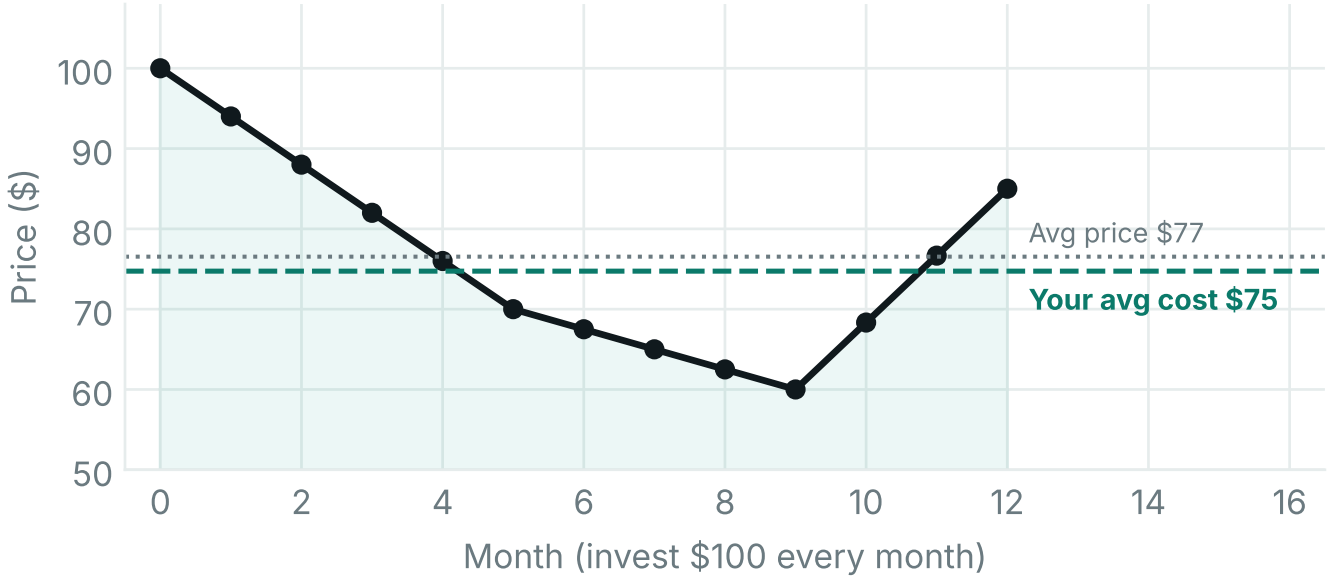
$10,000 left to grow for 30 years. The difference between 4% and 10% a year isn't 2.5×. It's more than 5×.

THE RULE OF 72

Years to double ≈ 72 ÷ annual return (%)

At 8% a year your money doubles in about 9 years. At 12%, about 6 years. At 2%, about 36.

Dollar-cost averaging (DCA)



Investing a fixed $100 a month buys more shares when prices are low. Your average cost ends up below the average price.

Instead of trying to time the perfect entry, you invest a fixed amount on a fixed schedule. You automatically buy more when prices are low and less when they're high. Historically, investing a lump sum immediately has often come out ahead because markets tend to rise over time, but DCA wins on something that matters just as much: **it gets people to actually invest, and keep investing, through scary markets**.

Rebalancing: sell high, buy low, automatically

Over time, winners grow into a bigger share of your portfolio, and your risk drifts up without you deciding it. Rebalancing means periodically (say once or twice a year, or when a weight drifts more than ~5 percentage points) trimming what's grown and topping up what's lagged. It forces you to do what everyone says and few do: sell some of what's expensive and buy what's cheap.

Return isn't the score

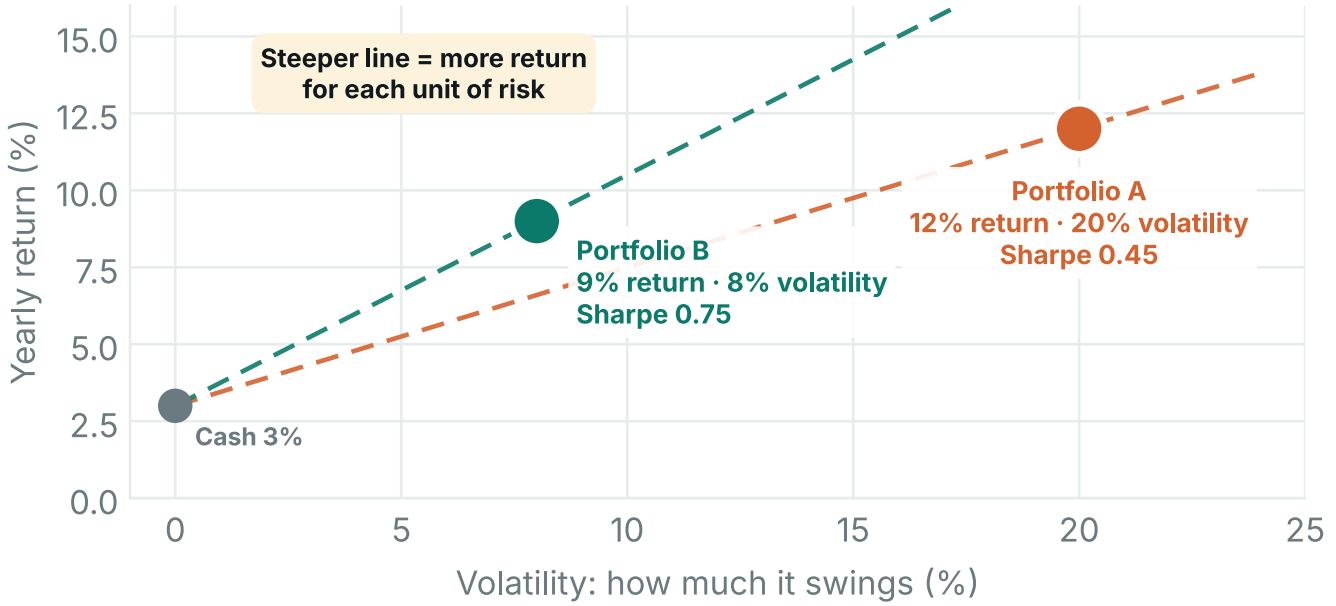
Two portfolios can end the year with different returns, and the one that made less can still be the better one.

A 12% return sounds better than 9%. But if the 12% came with twice the swings, you took far more risk to get it, and you were much more likely to panic-sell along the way. The **Sharpe ratio** answers a sharper question: *how much return did you earn for each unit of wobble?*

SHARPE RATIO

Sharpe = (Return − Cash rate) ÷ Volatility

Portfolio A: (12% − 3%) ÷ 20% = **0.45** · Portfolio B: (9% − 3%) ÷ 8% = **0.75**
B earned less, but delivered **two thirds more return per unit of risk**. Higher is better: around 0.5 is ordinary, 1 or more is strong over long periods.



The cash rate is the return you get for taking no risk. Subtract it, then divide by volatility. Illustrative numbers.

MYTH

~~*"The investment with the highest return is the best one."*~~



✓ REALITY

Only if you ignore the ride. A lower-return portfolio with much smaller swings often has the better Sharpe ratio, and it's far easier to stick with when markets fall. This is exactly what diversification buys you.



BEAR TRAP · RICO'S WARNING

A high Sharpe ratio isn't proof of safety

Volatility only captures ordinary ups and downs. Strategies that collect many small wins and hide rare, huge losses can show a beautiful Sharpe ratio right up to the day they blow up. Always look at the **worst drawdown** too.



PRO MOVE

Cap any single position

Many disciplined investors cap any one stock at around 5–10% of the portfolio. One great company can still be a terrible concentration of risk.

RICO'S CALL #9

+2 pts

The "diversified" portfolio

Your friend proudly shows you their portfolio: five big US tech stocks, a Nasdaq-100 ETF, and a semiconductor ETF. "Seven different holdings," they say. "Totally diversified."

- **A** Agree: seven holdings is plenty of diversification
- **B** Suggest they add three more tech stocks
- **C** Suggest they sell everything and buy one crypto coin
- **D** Disagree: these are highly correlated bets on one sector. Add assets with different drivers: other sectors, regions, bonds, possibly commodities

Lock in your answer, then flip to page 78.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 78. If your reasoning matches, you really own the idea.

1. **Why don't five big tech stocks plus a Nasdaq ETF count as diversification?**

2. **Why does rebalancing tend to force you to "sell high and buy low"?**

★ BOSS QUIZ · CHAPTER 9

+1 pt each

1 Using the rule of 72, roughly how long does money take to double at 9% a year?

- A 4 years
- B 8 years
- C 12 years
- D 18 years

2 Which pair is most likely to diversify each other?

- A Two big US banks
- B Two Bitcoin funds
- C A chip maker and a semiconductor ETF
- D A US stock index fund and government bonds

3 Your 60/40 stock/bond portfolio has drifted to 75/25 after a strong year. Rebalancing means...

- A Buying more stocks
- B Doing nothing ever
- C Switching to 100% bonds
- D Selling some stocks and buying bonds to get back near 60/40

4 Portfolio X returned 10% with 20% volatility. Portfolio Y returned 7% with 8% volatility. Cash pays 3%. Which has the better Sharpe ratio?

- A X, because it returned more
- B They're equal
- C You can't tell without knowing the stocks
- D Y, because it earns more return per unit of risk

Answers on page 78. Log your score on the Scorecard at the back.



★ CHAPTER 9 COMPLETE

Nice work. Here's what to keep.

1. Diversify across **different drivers**, not just more tickers.
2. Asset allocation shapes your results more than stock picking. Match it to your horizon.
3. Let **compounding, DCA and rebalancing** do the heavy lifting.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · LEARN

Profit.com Academy

Keep going in Profit.com Academy: interactive lessons that turn the ideas in this guide, from diversification to risk, into practice.

Open Profit.com Academy →



CHAPTER 10

Building Your Trading Plan

Everything comes together here. Pick your style, design your rules, test them, and launch, one small step at a time.

> *Amateurs have opinions. Professionals have plans.*



WHAT YOU'LL UNLOCK

- ✓ Find your trading style
- ✓ The anatomy of a strategy
- ✓ Backtesting without fooling yourself
- ✓ Your plan, checklist and 30-day launch

Pick a style that fits your life

There's no best style. There's the one that fits your time, temperament and capital.

Style	Holding time	Screen time	Fits you if…	Watch out for
Scalping	Seconds to minutes	Constant	You love intense focus	Costs and speed: you're up against algorithms
Day trading	Minutes to hours	Several hours/ day	You can trade during market hours	Over-trading, tilt
Swing trading	Days to weeks	30–60 min/day	You have a job and like charts	Overnight and weekend gaps
Position trading	Weeks to months	A few hours/ week	You like macro and big trends	Patience through pullbacks
Investing	Years	A few hours/ month	You want to build long-term wealth	Boredom-driven tinkering



RICO'S HONEST TAKE

Most beginners start with day trading because it looks exciting. Most beginners would do better with **swing trading** or **investing**: fewer decisions, lower costs, less stress, and you can keep your day job.

Anatomy of a strategy: the five questions

1. What

Which markets and timeframe? (e.g. large-cap US stocks, daily chart)

2. When in

Exact setup and entry trigger. (e.g. pullback to rising 50-day MA + bullish candle)

3. When out (wrong)

Where the stop goes. (e.g. below the pullback low)

4. When out (right)

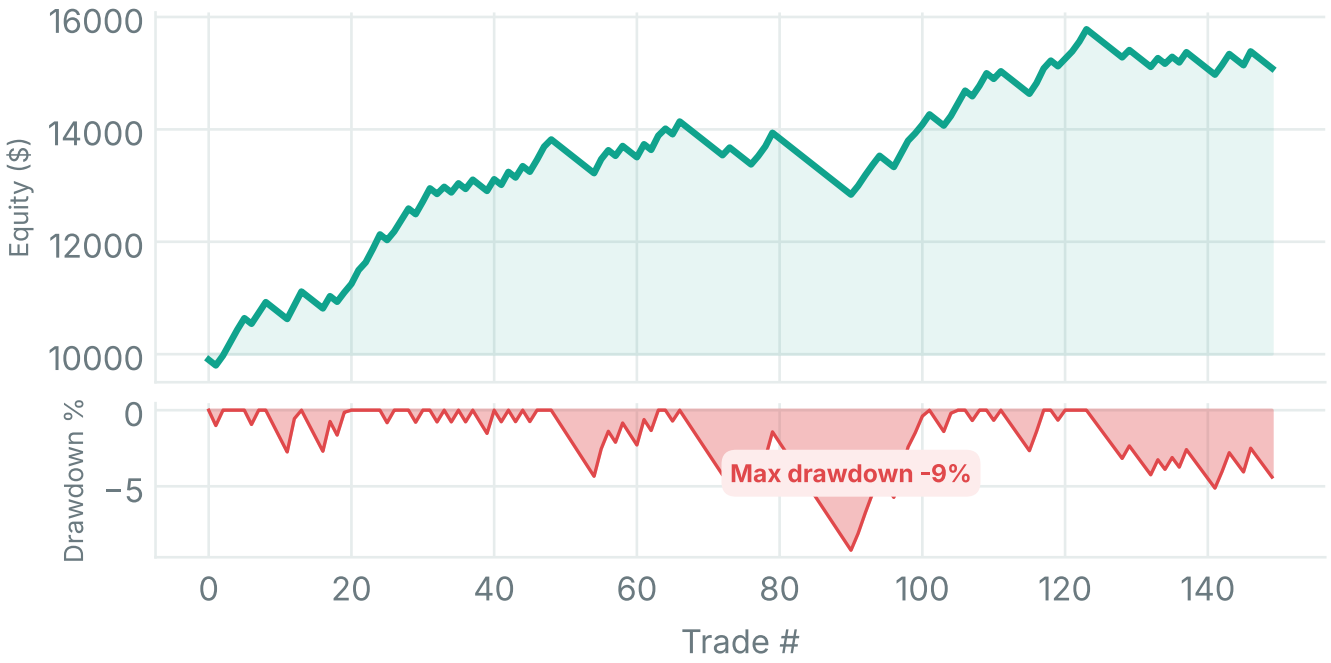
Target or trailing exit. (e.g. 2R target, or trail under the 20-day MA)

5. How much

Risk per trade and max open risk. (e.g. 1% per trade, 4% total)

If you can't answer all five in one sentence each, you don't have a strategy yet. You have a vibe. A strategy is a set of rules clear enough that someone else could follow it and take the same trades.

Backtesting: test before you trust



A backtest shows how rules would have performed historically. Look at the drawdown panel as hard as the equity curve: could you really sit through it?

A **backtest** applies your rules to historical data to see how they would have performed. It won't predict the future, but it can quickly kill bad ideas. Look at: number of trades (50+), win rate, average win vs loss, expectancy, maximum drawdown, Sharpe ratio, and whether it still works across different years and markets.

Backtest trap	What it is	How to avoid it
Overfitting	Tuning rules until they fit the past perfectly	Few rules, few parameters. Test on data you didn't tune on
Look-ahead bias	Using information you wouldn't have had at the time	Only use data available at the moment of each decision
Survivorship bias	Testing only on companies that still exist today	Include delisted and bankrupt stocks where possible
Ignoring costs	Forgetting spread, commission and slippage	Subtract realistic costs from every trade

From paper to real money: the launch ladder

Step 1 · Paper trade
20–30 trades on PlayTrade, following the rules exactly. Goal: execution, not profit.

Step 2 · Tiny real size
Risk 0.25–0.5% per trade. Real money changes your emotions. Find out how.

Step 3 · Normal size
Move to full 1% risk only after 30+ trades with positive expectancy and rules followed.

Step 4 · Review & scale
Monthly journal review. Scale slowly. Drop to smaller size during drawdowns.

Your one-page trading plan

Fill this in. Print it. Stick it next to your screen.

My style & markets

My timeframes (direction / entry)

My setup (when I enter)

My stop rule

My exit / target rule

Risk per trade

Max total open risk

Daily loss limit

Weekly loss limit

When I don't trade (news, mood, times)

Rico's pre-trade checklist

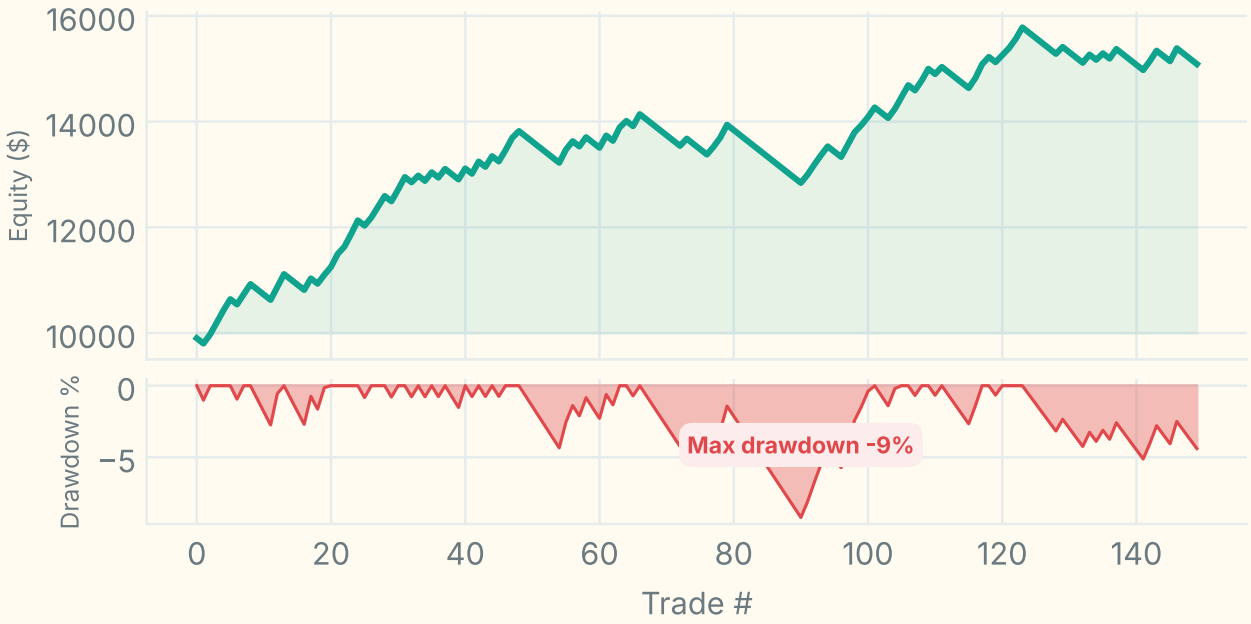
- [ ] Does this match a setup written in my plan?
- [ ] Is the higher-timeframe trend on my side (or am I deliberately counter-trend)?
- [ ] Is my stop at a logical "I'm wrong" level?
- [ ] Is position size calculated, so a stop-out costs ≤ 1%?
- [ ] Reward-to-risk at least 1:2?
- [ ] Any earnings or major news before my expected exit?
- [ ] Am I calm? (Tilt meter: green)

RICO'S CALL #10

+2 pts

The too-good-to-be-true backtest

You've built a strategy with 14 different indicator settings, tuning each until the results looked great. On the last 6 months of data it shows a 92% win rate and no losing month. You're thinking of putting your whole account in tomorrow.



A. Go all-in tomorrow: the numbers don't lie

B. Add three more indicators to push it to 95%

C. Sell the strategy online as a guaranteed system

D. Suspect overfitting. Simplify the rules, test on years of data you didn't tune on, then paper trade and start with tiny size

Lock in your answer, then flip to page 78.



SHOW YOUR REASONING · 60 SECONDS

Don't just pick an answer. Explain **why**, in one or two sentences, then compare with my model answer on page 78. If your reasoning matches, you really own the idea.

1. **Why is a 92% win-rate backtest more suspicious than a 45% one?**

2. **Why start real-money trading at tiny size, even after successful paper trading?**

BOSS QUIZ · CHAPTER 10 +1 pt each

1 You work full-time and can check charts for 45 minutes in the evening. Which style fits best?

- A Scalping
- B Day trading
- C High-frequency trading
- D Swing trading

2 Which is an example of look-ahead bias?

- A Including trading costs
- B Testing on 10 years of data
- C Using today's closing price to decide a trade that was entered this morning
- D Using a stop-loss

3 Before risking full size, a sensible milestone is...

- A One big winning trade
- B A friend's approval
- C A strategy with 10+ indicators
- D 30+ trades with positive expectancy and rules followed

4 Which of these is NOT one of the five strategy questions?

- A What do I trade?
- B What will the market do next month?
- C Where's my stop?
- D How much do I risk?

Answers on page 78. Log your score on the Scorecard at the back.



CHAPTER 10 COMPLETE

Nice work. Here's what to keep.

1. Pick a style that fits your life. For most beginners: **swing trading or investing**.
2. A strategy answers five questions: what, when in, when out wrong, when out right, how much.
3. Backtest honestly, paper trade, then **start tiny** and climb the launch ladder.

Log your points on **Rico's Path**: Rico's Call ___ / 2 · Boss Quiz ___ / 4

LEVEL UP ON PROFIT.COM · SIMULATOR

PlayTrade Tournaments

You have a written plan. Now test it: join a PlayTrade tournament, trade with virtual money against other traders, and see whether your rules hold up under pressure.

- Trade live markets with virtual money
- Compete on leaderboards against other traders
- Put the 1% rule and your checklist to the test

Join a PlayTrade tournament →



Rico's Gym



Reading builds knowledge. Practice builds skill. Every tool below is on Profit.com, colour-coded by type.

Simulator **Tool** **Game** **Calculator** **Learn**

SIMULATOR
PlayTrade
Trade live markets with virtual money. Learn without risking a cent.

Trains: Ch. 1, 10

Open →

TOOL
Chart Portal
Live charts with candles, drawing tools and indicators. Practise every chart skill on real markets.

Trains: Ch. 3, 4

Open →

TOOL
Ticker Pages & Financials
Any company's revenue, margins, EPS, cash flow and debt on one page.

Trains: Ch. 7

Open →

TOOL
Economic Calendar
Every release, its forecast and the actual number the moment it lands.

Trains: Ch. 8

Open →

GAME
Bull Run
React to market headlines in seconds. Calm, fast decisions.

Trains: Ch. 8

Open →

GAME
FastScan
Short focus drills that sharpen attention and reaction speed.

Trains: Ch. 6

Open →

GAME
CandleFlip
Match cards and learn candlestick patterns from memory.

Trains: Ch. 3

Open →

GAME
Next Move
Call the next move on a real chart, then see what happened.

Trains: Ch. 4

Open →

CALCULATOR
Margin Calculator
How much margin a trade ties up, and where a margin call hits.

Trains: Ch. 2

Open →

CALCULATOR
Position Size Calculator
Exact shares to buy so a stop-out costs only your chosen risk.

Trains: Ch. 5

Open →

CALCULATOR
Stock Profit Calculator
Real return after fees, before and after a trade.

Trains: Ch. 7

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Also on Profit.com: a stock screener and watchlists, to find ideas and keep track of the companies you're studying.



RICO'S TRAINING PLAN

Start on **PlayTrade**. It's the closest thing to real trading without the real losses. Use the calculators before every trade, and the games for ten minutes a day. Skills compound like money does.

Answer Key



No peeking until you've committed. Gold cards are Rico's Calls (2 pts), green cards are my model answers to "Show your reasoning", grey cards are Boss Quiz questions (1 pt). Don't just check the letter. Check that your *reason* matches mine.

Rico's Call #1: The tiny token · p. 10

Answer: A. The spread is $0.01 on a ~$0.10 price: roughly **10%**. Buy at the ask and the bid immediately values you about 10% lower. With so little liquidity, a market order may also eat through several price levels (slippage), and getting out later can be worse. A "low price" per token says nothing about value. Leverage would just magnify that built-in loss.

Why the other options are tempting, and wrong:

B A low price per token is not the same as cheap. $0.10 can be wildly overvalued, and a market order in a thin book may fill even worse than the ask.

C Leverage multiplies the size of the position, so it multiplies the ~10% spread cost too. It makes the problem bigger, not smaller.

D Long-term holders pay the spread too: once to get in and again to get out. In illiquid assets the exit is often the most expensive part.

Show your reasoning · Ch. 1 · p. 11

1. Prices move on the gap between results and expectations. If investors expected even better numbers, or guidance for next quarter disappointed, record profits can still be a negative surprise, so the price falls.

2. The spread is paid on every round trip. A day trader might pay it hundreds of times a year, so it compounds into a huge cost. An investor pays it once to get in and once to get out, spread over years.

Quiz 1.1 · p. 11

C. Prices move on surprises relative to expectations. Record profits that were fully expected can even cause a drop.

Quiz 1.2 · p. 11

C. You buy at the ask ($50.05) and sell at the bid ($49.95): a $0.10 loss, which is the spread.

Quiz 1.3 · p. 11

B. Index ETFs are liquid, diversified and cheap to trade, which makes them very forgiving of beginner mistakes.

Quiz 1.4 · p. 11

B. You can't win on speed or research budget. You can win by being selective, sitting in cash and moving in and out freely.

Rico's Call #2: The overnight gamble · p. 16

Answer: C. An 8% gap against a 20× position is a −160% loss: more than your entire account. Even 5× loses 40% in one night. Earnings gaps can jump straight over stop-losses, so your main protection is **position size**: decide the maximum you're willing to lose (1–2% = $50–$100) and size so a typical 8% gap only costs that, and an unusually big one is still survivable. A friend's "definitely" is not a strategy.

Why the other options are tempting, and wrong:

A Maximum upside also means maximum downside. An ordinary −8% gap at 20× leverage is a −160% hit: more than the whole account.

B Less reckless, but an 8% gap still costs 40% of the account in one night. That's a loss you need +67% to recover from.

D No leverage helps, but with no stop and full size, a bad gap still costs a big slice, and you've made no plan for being wrong.

Show your reasoning · Ch. 2 · p. 17

1. A stop only becomes a market order once price trades at that level. If price opens far beyond it, you're filled at the open. Only a small position limits the damage from a gap.

2. A buy stop is for buying strength: you only want in if price proves itself by breaking higher. A buy limit is for buying weakness: you only want in at a better price than today's.

Quiz 2.1 · p. 17

B. A buy limit says "only at $95 or lower." A buy stop at $95 would trigger immediately, since price is already above it.

Quiz 2.2 · p. 17

C. 10× leverage means a 10% adverse move equals 100% of your margin.

Quiz 2.3 · p. 17

D. A price can rise without limit, so a short's loss has no theoretical ceiling.

Quiz 2.4 · p. 17

B. Slippage is the gap between the expected and actual fill price, and it's most common in fast markets.

Rico's Call #3: The hammer at support · p. 24

Answer: A. That's a hammer at a proven support level: a genuine clue that buyers are stepping in. But one candle isn't proof. The disciplined play is to wait for confirmation and place your stop under the hammer's low. If support breaks, you're out with a small loss. A down-trend is the context, but support plus a rejection wick is the signal.

Why the other options are tempting, and wrong:

B The downtrend is real, but shorting into a level that has held three times, right after buyers rejected lower prices, is fighting fresh evidence.

C No pattern "always" works. Going all-in on one candle ignores both confirmation and position sizing.

D A single candle can be noise, but a long rejection wick at a proven level is information. Ignoring it means ignoring who just won the fight.

Show your reasoning · Ch. 3 · p. 24

1. The hammer's meaning comes from context. At support, it shows buyers defending a known level. In the middle of nowhere, there is no level being defended, so it's much more likely to be noise.

2. The higher timeframe shows the dominant trend and the major levels. Trading with that trend tilts the odds in your favour, and the big levels tell you where your 15-minute trade is likely to stall.

Quiz 3.1 · p. 25

C. For a green candle the body runs from open ($20) up to close ($22). $23 is the top of the upper wick.

Quiz 3.2 · p. 25

D. Price went up but was pushed back down: sellers defended that level.

Quiz 3.3 · p. 25

A. Breakouts without volume often fail. Wait for a close above the level, ideally with expanding volume.

Quiz 3.4 · p. 25

D. Higher timeframe for the trend, lower timeframe for the entry.

Rico's Call #4: Breakout, or bait? · p. 35

Answer: A. A break of well-tested resistance can be powerful, but today's volume is the lowest in weeks. That's a classic fakeout setup. Patience costs you a few cents of upside if it's real; impatience can cost you a full stop-loss if it's fake. Shorting is also premature: three rejections don't guarantee a fourth.

Why the other options are tempting, and wrong:

B Buying the very first poke, on weak volume, is exactly where fakeouts catch eager traders. A market order also adds slippage.

C Three rejections tell you the level matters, not that it will hold forever. Each test absorbs sellers, which is why levels eventually break.

D Missing earlier moves is not a reason to take more risk now. Doubling size to "catch up" is FOMO with a calculator.

Show your reasoning · Ch. 4 · p. 35

1. Traders who sold at that level and watched price break higher want to buy back near it. Traders who missed the breakout want in on a pullback. Both groups create buying demand at the old ceiling.

2. RSI measures how strong recent gains are relative to losses. In a powerful trend, gains keep dominating, so RSI stays high. "Overbought" describes strength, not an imminent reversal.

Quiz 4.1 · p. 36

A. Both the peaks and the troughs must be rising.

Quiz 4.2 · p. 36

B. Role reversal: broken resistance frequently becomes support. Many traders buy this retest.

Quiz 4.3 · p. 36

A. Price and momentum disagreeing at a high is bearish divergence: momentum is fading.

Quiz 4.4 · p. 36

A. They're all momentum oscillators built from the same prices. Use one per job instead.

Rico's Call #5: Size it right · p. 42

Answer: C. Risk = 1% × $20,000 = $200. Risk per share = $80 − $76 = $4. Shares = $200 ÷ $4 = **50** (a $4,000 position). If the stop is hit you lose $200, exactly 1%. 250 shares would put $1,000 (5%) at risk; 100 shares $400 (2%).

Why the other options are tempting, and wrong:

A 250 shares uses the entire account. A stop-out would cost $1,000, five times your rule, and leave no capital for anything else.

B 200 shares risks $800 (4%). Ten losers in a row, which happens, would take roughly a third of the account.

D 100 shares risks $400 (2%). Not insane, but it breaks your own 1% rule, and rules you bend once get bent again.

Show your reasoning · Ch. 5 · p. 42

1. The stop marks where your idea is wrong, which is set by the chart. Your risk per trade is set by your rules. Divide the risk by the stop distance and you get the only size that respects both.

2. If the average win is much bigger than the average loss, expectancy is positive. With 40% winners at +$300 and 60% losers at −$100, each trade averages +$60.

Quiz 5.1 · p. 43

C. Half the money must double: $5,000 → $10,000 is +100%.

Quiz 5.2 · p. 43

A. (0.5 × 200) − (0.5 × 100) = 100 − 50 = +$50.

Quiz 5.3 · p. 43

B. Risk = $100. Risk per share = $0.50. $100 ÷ $0.50 = 200 shares.

Quiz 5.4 · p. 43

B. Break-even win rate = 1 ÷ (1 + R) = 1 ÷ 3 ≈ 33%.

Rico's Call #6: Three red in a row · p. 47

Answer: B. Your daily loss limit exists for exactly this moment. Three losers in a row is normal variance for most strategies, but the urge to "win it back" is the textbook start of revenge trading. Markets will be there tomorrow. Your capital and judgment need to be too. (And no, a losing streak does not make you "due" a winner. Each trade is independent.)

Why the other options are tempting, and wrong:

A Losing streaks don't make wins more likely. Doubling size after losses is the classic martingale road to ruin.

C The setup may well be good, but your daily limit exists because your judgment is compromised right now. Good setups come back tomorrow.

D Switching to an unfamiliar market when frustrated combines tilt with zero edge: the worst of both worlds.

Show your reasoning · Ch. 6 · p. 47

1. Outcomes contain luck; process is what you control. Rewarding a rule-break teaches your brain that breaking rules pays, which eventually leads to a large loss.

2. Each trade's outcome is independent of the last. A streak doesn't change the odds of the next trade. Believing otherwise (the gambler's fallacy) pushes you to increase size at exactly the wrong time.

Quiz 6.1 · p. 48

A. Short streaks are mostly variance. Fixed sizing protects you from yourself.

Quiz 6.2 · p. 48

A. The market doesn't know or care what you paid. Holding to avoid realising a loss is classic loss aversion.

Quiz 6.3 · p. 48

D. Rewarding rule-breaking teaches habits that eventually blow up accounts.

Quiz 6.4 · p. 48

A. Hard, pre-committed limits take the decision away from your emotional self.

Rico's Call #7: The gap you missed · p. 52

Answer: B. Chasing an 18% gap at the open means buying at the most emotional moment, often near the day's high. Shorting a strong earnings beat is fighting fresh buying power. Strong post-earnings stocks often consolidate before continuing, which gives you a defined, lower-risk entry. And "passing" is a perfectly professional answer: missing a trade costs nothing.

Why the other options are tempting, and wrong:

A Market-buying at the open after a +18% gap is buying at peak excitement, often near the day's high, with no defined stop.

C "Too high" is not a signal. Fresh, big earnings beats often bring sustained institutional buying; shorting it is standing in front of a train.

D Doubling size on the most emotional trade of the day is the opposite of the 1% rule. Big gaps can fade just as fast as they appeared.

Show your reasoning · Ch. 7 · p. 52

1. A low P/E may reflect that the market expects profits to fall, the business is declining, or there are hidden risks like heavy debt. Cheap on today's earnings can be expensive on tomorrow's.

2. Prices move on the surprise relative to expectations, and on guidance. If investors expected an even bigger beat, or management's outlook for next quarter disappointed, the stock can fall despite good results.

Quiz 7.1 · p. 53

C. 60 ÷ 3 = 20.

Quiz 7.2 · p. 53

C. Markets trade on expectations and forward guidance, not just the headline number.

Quiz 7.3 · p. 53

B. When price opens far beyond your stop, you're filled at the next available price.

Quiz 7.4 · p. 53

D. Free cash flow is the real cash left after running and investing in the business, which is much harder to massage than reported profits.

Rico's Call #8: Good news, bad day · p. 58

Answer: D. A big jobs beat says the economy is running hot. That can raise inflation fears and make the central bank less likely to cut rates, so bond yields rise and stocks, which compete with those yields, fall. The first move after a release is often noise, so wait for the market to digest it. Good news for the economy isn't always good news for prices: what matters is what the number means for interest rates.

Why the other options are tempting, and wrong:

A Buying the first dip with leverage means trading in the most volatile, widest-spread minutes of the day, against a clear reason for the move.

B The data isn't wrong; the market is repricing interest rates. Shorting heavily after the move has happened chases it, often just before a bounce.

C The jobs report is one of the biggest market movers of the month, precisely because it shapes interest-rate expectations.

Show your reasoning · Ch. 8 · p. 58

1. Strong data can raise inflation worries and the expectation of higher interest rates for longer. Higher rates make future profits worth less today and make bonds more attractive, so stocks can fall.

2. The forecast is already priced in before the release. Only the difference between the actual number and the forecast is new information, so that is what moves prices.

Quiz 8.1 · p. 59

A. What matters is actual vs forecast: 2.9% is below the 3.1% expected. Cooler inflation tends to raise hopes of rate cuts.

Quiz 8.2 · p. 59

A. Higher inflation implies tighter policy, which tends to weigh on bonds and stocks.

Quiz 8.3 · p. 59

C. PMI readings below 50 mean activity is contracting; above 50 mean it is expanding.

Quiz 8.4 · p. 59

C. When the actual number matches the forecast, the news is already in the price.

Rico's Call #9: The "diversified" portfolio · p. 65

Answer: D. Those seven holdings overlap heavily: the big tech names are also the largest weights in the Nasdaq-100 and many are in the chip ETF too. In a tech sell-off, everything falls together. Diversification is about **different drivers**, not a higher number of tickers.

Why the other options are tempting, and wrong:

A Seven tickers that all move with the same factor (big tech) behave like one position. Count drivers, not holdings.

B Adding more tech increases the concentration you're trying to fix.

C Swapping one concentrated bet for an even more volatile single bet makes diversification worse, not better.

Show your reasoning · Ch. 9 · p. 65

1. They share the same main driver. The ETF already holds those stocks in large weights, so in a tech sell-off they all fall together. Diversification needs different drivers, not more tickers.

2. Assets that rose become overweight, so you trim them after they've gained. Assets that lagged become underweight, so you top them up after they've fallen. The rule does what emotions rarely do.

Quiz 9.1 · p. 66

B. 72 ÷ 9 = 8 years.

Quiz 9.2 · p. 66

D. Stocks and high-quality government bonds have often had low or negative correlation, though not always.

Quiz 9.3 · p. 66

D. Rebalancing restores your chosen risk level by trimming winners and topping up laggards.

Quiz 9.4 · p. 66

D. X: (10 − 3) ÷ 20 = 0.35. Y: (7 − 3) ÷ 8 = 0.50. Y earns more return for each unit of risk, even though its total return is lower.

Rico's Call #10: The too-good-to-be-true backtest · p. 71

Answer: D. Fourteen tuned parameters on six months of data is a classic overfit: the rules memorised the past instead of finding a repeatable edge. Real edges usually survive simple rules, long histories, different markets and realistic costs, and almost never show 92% win rates. Follow the launch ladder. Your account will thank you.

Why the other options are tempting, and wrong:

A Backtest numbers do lie when the rules were tuned to the same data. Live markets rarely match a curve-fit history.

B More indicators means more parameters to overfit. A higher backtest win rate from extra tuning usually means a worse live result.

C Selling an untested system as "guaranteed" is not just bad trading, it's misleading people. No trading system is guaranteed.

Show your reasoning · Ch. 10 · p. 71

1. Very high win rates on tuned rules usually mean the rules memorised past noise (overfitting). Real edges tend to look modest: moderate win rates with winners larger than losers.

2. Real money changes your behaviour: fear and greed show up in ways paper trading can't test. Tiny size lets you discover and fix those mistakes while they're cheap.

Quiz 10.1 · p. 72

D. Swing trading on daily charts can be managed in the evening, with orders placed in advance.

Quiz 10.2 · p. 72

C. At the time of the morning entry, the close wasn't known yet.

Quiz 10.3 · p. 72

D. A meaningful sample with consistent rule-following is the minimum evidence to scale up.

Quiz 10.4 · p. 72

B. A strategy defines your actions under rules. It doesn't require predicting the future.

Your Scorecard

Tally your points chapter by chapter. Be honest: Rico can tell.

Chapter	Rico's Call (0 or 2)	Boss Quiz (0–4)	Chapter total
Chapter 1			
Chapter 2			
Chapter 3			
Chapter 4			
Chapter 5			
Chapter 6			
Chapter 7			
Chapter 8			
Chapter 9			
Chapter 10			
TOTAL (max 60)			

Your score



0–24 pts
Revisit
Re-read Chapters 5 & 6 first.



25–39 pts
Solid base
Now practice.



40–51 pts
Ready to paper trade
Start in PlayTrade.



52–60 pts
Ready for the launch ladder
Follow it in Chapter 10.



ONE LAST THING

Whatever your score, here's the secret: the score that matters is the one you earn in your trading journal over the next 100 trades. **Follow the plan, size small, stay in the game.**

Glossary

Trading jargon, decoded.

ATR — Average True Range: how much an asset typically moves per period. Used to set stops.

Ask — Lowest price a seller will accept. You buy here.

Backtest — Testing trading rules on historical data.

Bear / bull market — A sustained fall / rise, often defined as about 20% from a peak / trough.

Bid — Highest price a buyer will pay. You sell here.

Bollinger Bands — A moving average with bands 2 standard deviations above and below.

Breakout — Price moving decisively through support or resistance.

Candlestick — A bar showing open, high, low and close for one period.

CFD — Contract for difference: a leveraged derivative that tracks an asset's price.

Correlation — How closely two assets move together (−1 to +1).

DCA — Dollar-cost averaging: investing a fixed amount at regular intervals.

Divergence — When price and an indicator move in opposite directions.

Drawdown — Decline from a peak in account value to a subsequent low.

EPS — Earnings per share: net profit ÷ shares outstanding.

ETF — Exchange-traded fund: a basket of assets that trades like a single stock.

Expectancy — Average amount you expect to win or lose per trade.

Fakeout — A breakout that quickly reverses.

Gap — When price opens far from the previous close, leaving empty space on the chart.

Leverage — Controlling a larger position than your capital, using borrowed money.

Limit order — Order to trade only at a set price or better.

Liquidity — How easily an asset can be traded without moving its price.

Long — Buying to profit from a rise.

MACD — Momentum indicator based on the gap between two EMAs.

Margin — The deposit required to open a leveraged position.

Margin call — A demand to add funds when losses eat into your margin.

Market order — Order to trade immediately at the best available price.

Moving average — Average price over a set number of periods, plotted as a line.

P/E ratio — Share price ÷ earnings per share.

Position sizing — Deciding how much to buy so that a stop-out costs a fixed % of your account.

R / R-multiple — Profit or loss measured in units of initial risk. +2R = won twice what you risked.

Rebalancing — Restoring a portfolio to its target weights.

Resistance — Price zone where selling has tended to cap rallies.

RSI — Relative Strength Index: momentum oscillator from 0 to 100.

Sharpe ratio — Return above the cash rate, divided by volatility: how much return you earn per unit of risk.

Short — Selling borrowed assets to profit from a fall.

Slippage — Difference between expected and actual fill price.

Spread — The gap between the bid and the ask.

Stop-loss — Order that closes a trade at a pre-set loss level.

Support — Price zone where buying has tended to halt declines.

Swing trading — Holding trades for days to weeks.

Tilt — Trading badly because of emotion.

Trend — Persistent direction: higher highs/lows (up) or lower highs/lows (down).

Volatility — How much and how fast prices move.

Volume — Number of shares or contracts traded in a period.

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See you on the charts.

You now know more than most people who place their first trade. The next step is practice: safe, structured and fun.

Practice trading risk-free in PlayTrade, then keep sharpening your skills with calculators, games and lessons on Profit.com.

Practice trading in PlayTrade →



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